"A STUDY ON FINANCIAL STATEMENT ANALYSIS OF KERAFED, TRIVANDRUM"

A PROJECT REPORT

Submitted to the University of Kerala in partial Fulfillment of the requirements for the award of the Degree of Bachelor of Business Administration

Submitted by

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UNIVERSITY INSTITUTE OF TECHNOLOGY

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Certificate

This is to certify that the project work is entitled **"A STUDY FINANCIAL STATEMENT ANALYSIS OF KERAFED, TRIVANDRUM."** is done by **JESTIN SHAJI** (Candidate Code: 19523959018) in partial fulfilment of the requirements for the award of degree of **Bachelor of Business Administration** is a bonafide record of the work done by him under my guidance and supervision and that this work has not been submitted for any degree or diploma.

Mrs. Syama. V	**Mr. Vishnu Kumar. N**	**Principal**
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External Examiners

1.

2.

KERALA KERAKARSHAKA SAHAKARANA FEDERATION Ltd. No. 4370
An ISO Certified 9001:2015 Kerala Government Enterprise
KERAFED
കേരാഫെഡ്

File No: KFD/1039/2026-ADM4 **Dated: 25-02-2026**

CERTIFICATE

This is to certify that **Mr. Jestin Shaji (19523959018)**, a 5th semester BBA student of **University Institute of Technology, Kottarakkara**, has successfully completed his **project work titled *"A Study on Financial Statement Analysis of KERAFED"*** in the **Finance Department of KERAFED** during the period from **22.12.2025 to 08.01.2026**.

During the course of his project, he has carried out the assigned tasks with diligence and sincerity. His work has contributed to gaining practical exposure to the functioning of the Finance Department of this organization.

We wish him success in all his future endeavours.

Yours faithfully,

Senior Administrative Officer

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JESTIN SHAJI

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Place: Kottarakkara

Date:

DECLARATION

I JESTIN SHAJI hereby declare that the project report entitled **"A STUDY ON FINANCIAL STATEMENT ANALYSIS OF KERAFED, TRIVANDRUM"** is an original work carried out by me under the guidance of **Mrs. SYAMA V** (Faculty of Department of Management) towards the partial fulfillment of the award of the Bachelor of Business Administration degree from the University of Kerala during the period of (2023-2026) of study in University Institute of Technology, Kottarakkara.

This project has not been submitted in part of any other degree or diploma of this University or any other university.

Place: Kottarakkara

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Date:

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CHAPTER-1
INTRODUCTION

INTRODUCTION

1.1 GENERAL INTRODUCTION

Financial statements are essential tools for understanding the financial position and performance of an organization. They present summarized information about assets, liabilities, income, expenses, and overall profitability for a specific accounting period. These statements serve as the primary source of financial information for management, investors, creditors, and other stakeholders. According to **John N. Myer**, "Financial statement analysis is largely a study of the relationship among the various financial factors in a business as disclosed by a single set of statements and a study of the trend of these factors as shown in a series of statements." This definition explains that financial analysis focuses on examining relationships between financial items and identifying trends over time. Similarly, **Smith (1973)** defines financial statement analysis as "the process of evaluating financial data in order to understand the financial performance and position of a firm and to make informed economic decisions." This definition highlights the importance of analysis as a tool for effective decision-making.

Financial statement analysis uses techniques such as ratio analysis and trend analysis to evaluate an organization's financial performance and position. Ratio analysis helps measure liquidity, profitability, solvency, and efficiency by examining relationships between financial items, while trend analysis identifies patterns and changes in financial data over a period of time. In this study, ratio analysis and trend analysis are used to assess performance and understand the financial strengths and weaknesses of the organization for effective decision-making.

Financial statement analysis plays a crucial role in ensuring transparency, accountability, and effective financial management. It not only helps in reviewing past performance but also assists in planning future strategies and improving overall organizational efficiency.

The present studies entitled as "A study on Financial Statement Analysis of KERAFED, Thiruvananthapuram." The duration of the study is from 22nd December 2025 to 8th January 2025

1.2 REVIEW OF LITERATURE

SMITH (1973) has identified eight major theoretical approaches taken towards the managements of the working capitals, he stresses the need of the development of a viable model with dual finance goals of probability and liquidity and argues that only such models will assist practicing financial management in their day-to-day decision making.

N.J.YASWAY (1976) analyzed ―working capitals management in the Indian paper industries‖. Ration analysis was used to determine whether the firm was efficiently managing its working capitals or not. It was found that the working capital was unsatisfactory.

GENTRY (1979) found that the working capital literature is rather limited and that the management of short-term resources is not understood well by academician. The consensus is an academia seems to recognize the theory concerning to management of financial resource due to inherent development of working capital decision model while accepting the normative needs for more critical examinations.

GILBERT AND REICHERT (1995) have found that account receivable management models are used in 59% of these firms to improve working capital management project, while inventory management were used in 60% of companies. In intention to recover the relationship between efficient working capital management and firm‘s probability (SHIN & SOENEN, 1998) used net trade cycle (NTC) as a measure of working capital management.

JAMES C. VAN HOME (1998) "Current assets, by definition, are assets normally converted into cash within one year. Working capital management is concerned with the administration of these assets-namely cash and marketable securities, receivable and inventories".

BANSAL.S.P(1999) opinion that working capital management refers to the management of current assets and current liabilities for maintaining the optimum levels of various components and increasing the profitability of an enterprises. The author has insisted on

application of various techniques for management of working capital and its three main components cash, receivable and inventories.

CHALAM.G.V AND MABOHAR BABU B.V.(1999) observe that liquidity performance is very low as compared to the ideal norms. It is suggested that for managing working capital efficiency the operation and other required budget should be prepared by the respective levels of the management on short term as well as long term basis. It is further suggested that are the people concerned who can really influence the process of production activity to such an extent that there should be optimum utilization of the investment in working capital.

PATHINIA KULWANT SINGH (1999) advocates for the bank to concentration to maximize profitability and make optimum utilization of cash resource available, while at the same time taking care to economize cash holding without impairing the overall liquidity requirement of the bank. For strengthening the financed by equity capital/other long-term sources, whereas temporary working capital.

RAO GOVINDA D AND RAO P.M.(1999) believes that management of working capital is a continuous process requiring proper monitoring and studying of the relationship of all variable with constant, and drawing inference. This provides proper direction to the managers.

DELOOF MARE(2000) present a picture of how working capital management affected the profitability of Belgium firm. The writer has made use of empirical analysis for the sample firms. It was observed that most of the firms have a larger amount of cash invested in working capital. It can, therefore, be deduced that the way in which working capital is managed will have a significant impact on the profitability of the firms

GHOSH AND MAJI (2003) in this paper made an attempt to examine the efficiency of working capital management of the Indian cement company during 1992 - 1993 to 2001 - 2002 for measuring the efficiency of working capital management, performance, utilization and overall efficiency indices were calculated instead of using some common working capital management ratios.

FILBEEK GREG AND KRUEGER THOMAS M.(2005) based their study on the rating of working capital management published in CFO magazines. The finding of the study provides insight into working capital performance and working capital management, which is explained by macro-economic factor, interest rates, competition, etc. and their impact on working capital management, the article further studies the impact of working capital management on stock prices.

ASHRAF (2012) argued that a company's working capital should be sufficient to cover the costs of running it on a daily basis. Working capital is the sum of money needed to run the businessmen.

DR.FAWZI (2013) investigated the link between working capital control and business profitability. He came to the conclusion that there is a large inverse link between profitability and average inventory days, accounts payable days, and net trade cycle.

MAKORI DANIAL (2013) defined WCM is essential to a company's profitability. He came to the conclusion that decreasing the amount of days that accounts are past due helps management create value for shareholders.

AMANDA (2019) noted that working capital is a must for every business to carry its daily operations. The company's investment in short-term assets, such as cash, marketable securities, inventories, and accounts receivables, is referred to as working capital.

NTC is basically equal to the Cash Conversion Cycle (CCC) where by all three components are expressed as a percentage of sales. The reason why using NTC is because it can be easy devise to estimate for additional financing needs with regard to working capital express of a function in a projected sales growth.

1.3 STATEMENT OF THE PROBLEM

The need of the financial statement analysis is to diagnose the information contain in financial statement so as to judge the profitability and the financial position of KERAFED, the Kerala Kerakarshaka Sahakarana Federation Ltd.

1.4 OBJECTIVES OF THE STUDY

- To analyze the financial performance of a company for the past 5 years.
- To study the liquidity position, growth rate and operational efficiency of the company through ratio analysis.
- To examine year-to-year percentage changes in major financial items.
- To evaluate inventory management efficiency
- To assess the sustainability of financial performance

1.5 NEED AND SIGNIFICANCE OF THE STUDY

- The study has great significance and provides benefits to various parties whom directly or indirectly interact within the company.
- It is beneficial to the management of the company by providing crystal clear picture regarding important aspect like liquidity, leverage, activity and profitability.
- This study is also beneficial to employees and offers motivations by showing how actively they are contributing for the company‘s growth.
- To assist management in effective decision-making, planning, and financial control.
- To evaluate how efficiently the organization utilizes its financial resources.

The investors who are interested in investing in the company‘s share will also get benefitted by going through the study and can easily take a decision whether to invest or not to invest in the company‘s share.

1.6 SCOPE OF THE STUDY

The scope of the study is the covered area for the purpose of the study. The study is limited to The Kerala Kerakarshaka Sahakarana Federation Ltd. Thiruvananthapuram. The study mainly attempts to analyze the financial performance of the company. The financial authority can use this for evaluating their performance in future, which will help to analyze financial statement and help to apply the resources for the company properly for the development of the company.

1.7 RESEARCH METHODOLOGY

Methodology is the systematic method or an activity, which is used to collect the information required to complete this project work. The research involved extensive and intensive studies of KERAFED. In this project report, sincere effort has been made to study the financial statement analysis of the company. During this study, we study the financial position and performance of the company. At last, we have given interpretation and conclusion of the study.

1.8 DATA COLLECTION

The whole of this study is based on secondary data of KERAFED. We have not taken any primary data for our study because the primary data would not have been helpful to our studies. During the tenure of our studies we have taken the help of the following secondary data:-

- Annual report of KERAFED
- Annual audit report of KERAFED
- Balance sheet of KERAFED
- Profit and loss account of KERAFED

1.9 TOOLS USED

To analyze and interpret the financial statements of the study unit, the following tools are

used in the study.

- Ratio analysis
- Trend analysis
- Comparative statement analysis

The interpretations are also printed graphically using trend line graphs and subdividing bar diagram.

1.10 PERIOD OF STUDY

In order to ascertain the financial position of KERAFED, The duration of the study is taken from 22nd December 2025 to 8th January 2025

1.11 LIMITATION OF THE STUDY

- The time limit was a major factor affecting this project.
- The study is mainly based on secondary data where errors are possible.
- The study covers the period of 5 years only and it will not give a true picture about the actual position of the company.
- Finding and suggestions stated in the study are based on certain assumptions and are valid only with respect to figures
- Qualitative factors like Management efficiency and employee performance are not considered

1.12 PRESENTATION OF THE STUDY

The study was conducted in KERAFED, Thiruvananthapuram. The methodology used for the study was through collecting secondary data. The presentation of the study is divided into four chapters.

1.13 CHAPTERISATION

- **CHAPTER 1**
  INTRODUCTION
- **CHAPTER 2**
  INDUSTRY PROFILE AND COMPANY PROFILE
- **CHAPTER 3**
  THEORETICAL BACKGROUND
- **CHAPTER 4**
  DATA ANALYSIS AND INTERPRETATION
- **CHAPTER 5**
  FINDINGS, SUGGESTIONS AND CONCLUSION

CHAPTER-2

PROFILE

2.1 INDUSTRIAL PROFILES

Indian Scenario

India is the largest coconut-producing country in the world and accounted for about 31.45% of the world's total production during 2021-22, with a production of 19,247 million nuts. The crop contributes around Rs.307, 498 million (US$ 3.88 billion) to the country's gross domestic product (GDP). The coconut palm provides food security and livelihood opportunities to more than 12 million people in India. It is also a fiber yielding crop for more than 15000 coir-based industries, providing employment to nearly 6 lakh people. The productivity of coconut at a national level for 2021-22 was at 9123 nuts per hectare and is one of the highest in the world. Copra processing, coconut oil extraction and coir manufacturing are the traditional coconut- based activities in the country. India's coconut production is majorly situated in Kerala, Karnataka, Tamil Nadu and Andhra Pradesh, accounting for 89.13% of the coconut area and around 90.04% of the coconut production in the country. Other coconut producing states in the country are West Bengal, Orissa and Gujarat.

Government Bodies

Coconut Development Board (CDB)

The CDB is the statutory body under the ministry of Agriculture and Farmers Welfare that works towards developing coconut cultivation and industry in India. The board's major functions are development of industry, advising and imparting technical knowledge, providing financial assistance, improving marketing, implementing schemes, collecting statistics and undertaking publicity activities, etc.

World Scenario

The Global Coconut Products Market was valued at USD 4,102.9 million in 2021 and is projected to reach USD 7,184.2 million in 2027, registering a Compound annual growth rate (CAGR) of 9.98% during the forecast period 2022-2027. The COVID-19 pandemic has drastically affected the market. The pandemic promoted the importance of a plant-based diet and alternative protein to maintain a healthy immune system. In addition, the market witnessed rising consumer interest in cooking and baking at home, which has led

to the increased demand for plant-based dairy products such as coconut milk and cream. Another factor influencing the growing demand for plant-based milk is the increased number of people working from home. There has also been an increased interest in halal-certified and clean- label plant-based food and dairy alternatives. The covid-19 pandemic has encouraged companies to invest in online retailing. Koita, a Dubai-based manufacturer of non- diary milk reported that online sales of the company rose by 300% during the pandemic, with online orders primarily conducted by WhatsApp.

State Scenario

Major coconut growing states in India are Kerala, Tamil Nadu, Karnataka and Andhra Pradesh. Among them Kerala is the leading state in area under cultivation of coconut and its production.

Till 1980, Kerala was the major producer of coconut with 80-85% share in national production but later it's share in area under coconut cultivation in the country has fallen sharply from 57 per cent in the early 1990s to 43 per cent in 2008-09.

Although coconuts are cultivated on almost 30% of the state's cropped area, there are very few large coconut plantations in Kerala. More than 95% of coconut trees are grown in the front and backyards of homesteads. The average land holding under coconut cultivation is 20-25 cents and average coconut trees per household are about 15.

2.2 COMPANY PROFILE

Kerala Kerakarshaka Sahakarana Federation, Ltd. (KERAFED) is the top-level co-operative federation of coconut farmers in the southern Indian state of Kerala. KERAFED is also a producer and marketer of products based on coconut. It is the largest producer of coconut oil in India.

KERAFED was constituted by the Government of Kerala in 1987 with the objective of procuring the produce of coconut farmers to regulate marketing operations to retrieve the segment of price crunch they were confronting. A production unit relating to the sector was created in 1991 to crush and market copra procured from the farmers at remunerative price to relieve the section of price crunch and to cater the edible oil requirement of the society by maintaining high quality standards. KERAFED has two expeller oil extraction factories one at Karunagapally, Kollam and the other at Naduvannur, Kozhikode. KERAFED_S coconut oil complex at Karunagapally in Kollam district is one of the biggest such units in India, with a capacity of 250 Tons per day.

KERA‖ Brand of coconut oil is known for its quality, purity, longer shelf life and reasonable price. Its quality is conformity with the grade specifications laid down by the Bureau of Indian Standards vibe IS: 542-1968. Certificate of Authorization to grade ―KERA‖ coconut oil under AGMARK has also been obtained. ―KERA‖ is available in HDPE bottles of 100 ml, 200 ml, and 500 ml, PET bottles of 1000 ml and polythene pouches of 500 ml and 1000 ml. The raw materials used for these packing is of virgin/food grade, approved by CFTRI, Mysore / other Government approved agencies. Secondary packing is done using 3/5 ply corrugated cartons, as per specifications.

FUNCTIONING OF KERAFED

For effectively and efficiently carrying out the administrative and operational practices on a day-by-day basis, Kerafed sees its state of abode as three – Northern, Central and Southern regions. Each region has around 300 primary agricultural credit co-operative societies functioning, organizing farmers to take up production, procurement and marketing initiatives.

Mission

- To organize coconut industry in state
- To render value added services to coconut farmers for enhancing their earnings through improved productivity, and by assisting them in production and procurement.
- To provide employment opportunities for men and women
- Rendering assistance to affiliated society
- The main mission of the company is to protect coconut farmers from the exploitation of the monopolist and also provide maximum work and actual payment to them.

Vision

- Enter into the field of producing highly demanded coconut related products.
- Introduce more value-added product in the market.

OBJECTIVES

- To organize farmers to take up production, procurement and marketing initiatives.
- Measure to promote manufacturing and marketing of coconut products.
- To ensure supportive price for coconut farmers.
- To deliver high quality edible coconut oil to the world ethically

Production Facilities

KERAFED operates two expeller oil extraction factories: one at Karunagappally in Kollam district and the other at Naduvannur in Kozhikode district. The Karunagappally plant, known as the Kerafed Oil Complex Karunagapally (KOCK), is situated on 22 acres and is one of the largest coconut oil mills in India, with an installed capacity of 250 metric tonnes per day. This facility supplies coconut oil across Kerala and to regions outside the state. It features two crushing units with capacities of 200 MT/day and 50 MT/day, respectively, an 11KV substation with a dedicated feeder, two wood-fired fire tube boilers with a 3 TPD capacity for steam generation, and its own bore well for water needs.

Product Range

KERAFED's flagship product is the "KERA" brand of coconut oil, produced from high-quality copra procured directly from coconut growers in Kerala. The copra undergoes modern processing techniques with strict quality control measures, including a unique two-stage filtering process to preserve the original aroma and flavor of the coconut oil. "KERA" coconut oil is available in various packaging options, including HDPE bottles of 100 ml, 200 ml, and 500 ml; PET bottles of 1000 ml; and polythene pouches of 500 ml and 1000 ml. The packaging materials are of virgin or food-grade quality, ensuring product safety and integrity. In addition to coconut oil, KERAFED produces value-added products such as Kera Coconut Milk Powder and Kera Desiccated Coconut at its Karunagappally facility.

Quality Assurance

KERAFED ensures that "KERA" coconut oil conforms to the grade specifications laid down by the Bureau of Indian Standards (IS:542-1968) and has obtained AGMARK certification. The organization employs strict quality control measures in the selection and processing of copra to maintain product superiority and purity.

Market Presence

KERAFED caters to approximately 500,000 consumers in Kerala through 14,000 retail outlets. The organization has been instrumental in supporting over 2.7 million coconut farmers in the state by offering attractive support prices for coconut and copra during unfavorable market conditions, procuring copra under the price support scheme on behalf of NAFED, Government of India, and rendering value-added services to enhance farmers' earnings through improved productivity and assistance in production and procurement,

Future Plans

KERAFED has plans for expansion and diversification into producing highly demanded coconut-related products such as desiccated coconut, coconut cream, bottled tender coconut water, coconut milk, confectionery substances, herbal hair oil, activated charcoal, shell charcoal, shell powder for industrial use, and coir boards and coir pith. There are also plans to set up a solvent extraction unit and an oil refinery in the southern region to further enhance the organization's capabilities and market presence.

The Products Of Kerafed

- Kera coconut oil.
- Desiccated coconut
- Milk Powder.
- Keragem kesamrith.
- Baby Care Oil.

CHAPTER-3
THEORETICAL BACKGROUND

FINANCIAL STATEMENT ANALYSIS

Financial statement is an organized collection of data according to logical and consisted accounting procedures. Its purpose is to convey an understanding of some financial aspects of a business firm. It may reveal a series of activities over a given period of time, as in the case of an income statement.

The focus of the financial analysis is on key figures in the financial statements and the significant relationships that exist between them. The analysis of financial statements is a process of evaluating relationships between component parts of financial statements to obtain a better understanding of the firm's position.

Financial Analysis

Financial analysis is the process of identifying the financial strengths and weakness of the firm by properly establishing relationships between the item of the balance sheet and the profit and loss account. Financial analysis can be undertaken by management of the firm, or by parts outside the firm.

USERS OF FINANCIAL ANALYSIS

- Management
- Trade creditors
- Investors
- Government
- Others

Management

Management of the firm would be interested in every aspect of the financial analysis. It is their overall responsibility to see that the resources of the firm are used most effectively and efficiently and that the firm's conditions its sound.

Trade Creditors

The trade creditors are to be paid in a short-term solvency of the concern. The current ratio and acid test ratio will enable the creditors to asset the short-term solvency position of the concern.

Investors

The investors are interested their money in the firm's shares, are not concerned about the firm's earnings. They restore more confidence in those firms that show steady growth in earnings. As such, they concentrate on the analysis of the firm's present and future profitability. They are also interested in the firm's financial structure to the extent it influences the firms earning ability and risk.

Government

The financial statements are used to asses tax liability of business enterprise. These statements enable the government to find out whether the business is following various regulations or not.

Others

Trade associations, stock exchange and public may also analyze the financial statements to judge the financial position of different concerns.

DEFINITION

According to Myers ―Financial statement analysis is largely is a study of the Relationship among the various financial factors in a business as disclose by a single set of statement and a study of the trend of these factors as show is a series of statements‖.

Financial statements are indicators of the two significant factors

1. Profitability
2. Financial Soundness

Analysis and interpretation of financial therefore refers to such a treatment of the information contained in the income statement and the balance sheet so as to afford full diagnosis of the profitability and financial soundness of the business.

The term ―analysis‖ means methodical classification of the data given in the financial statements. the term ―interpretation‖ means explaining the meaning and significance of the data to be simplified.

TYPES OF FINANCIAL ANALYSIS

Financial analysis can be classified into different categories depending upon:

- The material used
- The modus operandi of analysis
- The entities involved
- The time horizon or objective of analysis

On the basis of material used financial analysis can be of two types:

External Analysis

Those who are outsider for the business do this analysis. The outsiders include investors, credit agencies, Government agencies and other creditors who have no access to the internal records of the company. These persons mainly depend upon, the published financial statements. Their analysis serves only a limited purpose. The position of this analysis has improved in recent times on account of increased governmental control over companies and governmental regulations requiring more detailed disclosures of information by the companies in their financial statements.

Internal Analysis

This analysis is done by a person who has access to the books of account and other information to the books of accounts related to the business. Executives and employees of the organization or by officers appointed for this purpose by the government of the court

under power vested in them can therefore do such an analysis. This analysis is done depending upon the objective to be achieved through this analysis.

On the basis of modus operandi financial analysis can also be two types:

Horizontal Analysis

In case of this type of analysis, financial statements for a number of years are reviewed and analyzed. The analysis statement usually contains figures for two or more years and the changes are shown regarding each item from the base year usually in the form of percentages, such an analysis given the management considerable insight into levels and areas of strength and weakness. Since this type of analysis is based on the date from year rather on one date, it is also termed as Dynamic Analysis

Vertical Analysis

In case of this type of analysis of study is made of the quantitative relationship of the various items in the financial statements on a particular type, such an analysis is useful comparing the performance of several companies in the same group, divisions or departments in the same company. It is also called _Static Analysis_ as it frequently uses to ratios developed on one date or for one accounting period.

On the basis of entities involved financial analysis can also be two types

Inter-firm Analysis

Cross sectional/inter-firm analysis involves comparison of financial data of a firm with other firms (competitors) or industry averages for the same time period.

Intra-firm Analysis

Time series or intra-firm analysis involves the study of performance of the same firm over a period of time.

On the basis of time horizon or objective of the analysis financial analysis can be classified under two categories:

Short-term Analysis

Short-term analysis measures the liquidity position of a firm, i.e. the firms ability to meet its current obligations.

Long-term Analysis

Long-term Analysis involves the study of firms ability to meet the interest costs and repayment schedule of its long-term obligation. The solvency stability and profitability are measured under this type of analysis.

TOOLS OR TECHNIQUES USED FOR ANALYSIS

- Ratio Analysis
- Method of least Squares (Trends Values)
- Comparative statement Analysis
- Common-size statements
- Fund flow analysis
- Cash flow analysis

These are explained in bring as follows:

RATIO ANALYSIS

Ratio Analysis widely used tool of financial analysis. It is defined as the systematic use of ratio to interpret the financial statements so that the strength and weakness of a firm as well as its historical performance and current financial condition can be determined. The term ratio refers to the numerical or quantitative relationship between two items/ variable.

This relation can be expressed as:

- Percentage
- Fractions

- Proportion of numbers

Accounting ratios showed the relationship in mathematical terms between two interrelated account figures. This is the most important tool available to financial analysis for their work.

Ratio analysis is a process of identifying the financial strengths and weakness of the firm. This may be accomplished either through a trend analysis of the firms ratios over a period of the time or through a comparison of the firms ratios with its nearest competitors and with the industry averages. The four most important financial dimensions which a firm would like to analyze are: Liquidity, Activity and Profitability.

FINANCIAL RATIOS

Financial ratio is a relationship between two financial variables. It helps to make qualitative judgment about the firms financial performance.

Types of Financial Ratios

- Liquidity Ratios
- Leverage Ratios
- Activity Ratios
- Profitability Ratios

A. Liquidity Ratios

Liquidity ratio measures the firms ability to meet current obligations, and is calculated by establishing relationships between current assets and current liabilities. To measure the liquidity of a firm, the following ratios can be calculated.

i. **Current ratio:** It may be defined as the relationships between current assets and current liabilities. It is also known as working capital ratio, is a measure of general liquidity and is most widely used to make the analysis of a short-

term financial position or liquidity of a firm.

$$Current\ Ratio = \frac{Current\ Asset}{Current\ Liabilities}$$

ii. **Quick ratio:** It is known as Acid Test or Liquid Ratio, is a more rigorous test of liquidity than the current ratio. An asset is to be said liquid if it can be converted into cash within a short period without loss of value

$$Quick\ Ratio = \frac{Quick\ Asset}{Quick\ Liabilities}$$

iii. **Absolute liquid ratio or Cash ratio:** Absolute liquid ration should also be calculated together with current ratio so as to exclude even receivables from the current assets and find out the absolute liquid assets.

$$Cash\ Ratio = \frac{Cash\ and\ Bank + Short\ Term\ Securities}{Current\ Liabilities}$$

B. Long-term Solvency and Leverage Ratio

Long-term solvency ratios convey a firm's ability to meet the interest costs and payments schedules of its long-term obligations. Leverage ratio measures the proportion of outsider's capital in financing the firm's assets, and is calculated by establishing relationships between borrowed capital and equity capital. The following ratios serve the purpose of determining the solvency of the concern:

i) **Debt-Equity ratio:** it is calculated to measure the extent to which debt financing has been used in a business. The ratio indicated the claims of outsiders and the owners against the firms assets. Thus:

$$Debt\ Equity\ Ratio = \frac{Outsiders\ Fund}{Shareholders\ Fund}$$

A ratio of 1:1 may be usually considered to be a satisfactory ratio although there cannot be any rule of thumb for all types of business.

ii) **Debt to total capital Ratio:** The ratio establishes a link between the long-term funds raised from outsiders and total long-term funds available in the business. Funded debt is that part of total capitalization which is financed by outsiders

$$Funded\ Debt\ to\ Total\ Capitalization = \frac{Funded\ Debt\ (Long\ Term\ Debts)}{Total\ Capitalization} \times 100$$

iii) **Equity ratio:** A variant to the debt-equity ratio is the Proprietary ratio which is also known as Net worth to Total Assets or shareholders to Total Equities Ratio. This ratio establishes the relationship between shareholder's funds to total assets of the firm. It is an important ratio for determining long-term solvency of a firm.

$$Proprietary/Equity\ Ratio = \frac{Shareholders\ Fund}{Total\ Assets}$$

iv) **Solvency ratio:** This ratio is small variant of equality ratio and can be simply calculated as 100-equity ratio, i.e., =33.33%. The ratio indicates the relationship between the total liabilities to outsiders to total assets of a firm and can be calculated as follows:

$$Solvency\ Ratio\ = \frac{Total\ Liabilities}{Total\ Assets}$$

v) **Interest coverage Ratio:** It is used to test the debt-servicing capacity of a firm. The ratio is also known as debt-service ratio. The formula is:

$$Interest\ Coverage\ Ratio = \frac{Net\ profit\ (Before\ interest\ and\ \ tax)(EBIT)}{Fixed\ interest\ Charges}$$

vi) **Fixed asset to net worth ratio:** The ratio establishes the relationship between fixed assets and shareholder's funds, i.e., share capital plus reserves, surpluses and retained earnings. The ratio can be calculated as follows

$$Fixed\ Asset\ to\ Net\ worth\ Ratio = \frac{Fixed\ Asset\ (After\ Depreciation)}{Tangible\ Net\ Worth}$$

C. Activity Ratio

Activity ratio reflects the firms efficiency in utilizing its assets in generating sales and is calculated by establishing relationships between sales and assets. Funds are invested in

various assets are managed directly affects the volume of sales. The better management of assets, larger will be the amounts of sales and the profits and thereby it is known as asset management ratio. These ratios are also called turnover ratios because they indicate the speed with which assets are converted or turned over into sales. The various activity ratios are as follows:

i. **Inventory/Stock Turnover Ratio:** Every firm has to maintain a concern level of inventory of finished goods so as to be able to meet the requirements of the business. But the level of inventory should neither too high nor too low. It is very essential to keep sufficient stocks in business. Inventory turnover ratio is also known as stock velocity. It would indicate whether inventory has been efficiently used or not. The purpose is to see whether only the required minimum funds have been locked up in inventory. It indicates the number of times the stock has been turned over during the period and evaluates the efficiency with which a firm is able to manage its inventory.

$$Inventory\ Turnover\ Ratio = \frac{Cost\ of\ Good\ Sold}{Average\ Inventory}$$

$$Average\ Inventoy = \frac{Opening\ Stock - Closing\ stock}{2}$$

$$Inventory\ Conversion\ Periods\ = \frac{Days\ in\ a\ Year}{Inventory\ Turnover\ Ratio}$$

ii. **Debtors Turnover Ratio:** A concern may sell goods on cash as well as on credit. The volume of sales can be increased by following a liberal credit policy. But the effect of a liberal credit policy may result in typing up substantial funds of a firm in the form or trade debtors and are included in current assets. Hence, the liquidity position of a concern to pay its short-term obligations in time depends upon the

quality of its trade debtors.

$$Debtors\ Turnover\ ratio\ = \frac{Net\ Credit\ Sales}{Average\ Trade\ Debtors}$$

$$Average\ Trade\ Debtors\ =\ Opening\ Debtors\ + Closing\ Debtors$$

$$Trade\ Debtors = Sundry\ Debtors + Bills\ Receivables\ and\ Accounts\ Receivables$$

$$Average\ Collection\ Periods\ = \frac{No\ of\ Working\ Days}{Debtors\ Turnover\ Ratio}$$

iii. **Creditors / Payables Turnover Ratio**: In the course of business operations, a firm has to make credit purchase and incur short-term liabilities. Creditors are naturally interested in finding out how much time the firm is likely to take in repaying its trade creditor.

$$Creditors\ Turnover\ Ratio\ = \frac{Net\ Credit\ Annual\ Purchase}{Average\ Trade\ Creditors}$$

$$Average\ Trade\ Creditors = \frac{Opening\ Creditors\ + Closing\ Creditors}{2}$$

$$Trade\ Creditors\ = Sundry\ Creditors\ + Bill\ Payables\ and\ Accounts\ Payables$$

$$Average\ Payment\ Period = \frac{No\ of\ Working\ Days}{Creditors\ Turnover\ Ratio}$$

iv. **Working Capital Turnover Ratio:** Working capital of a concern is directly related to sales. The current assets like debtors, bill receivables, cash, stock etc. change with the increase or decrease in sales. The working capital is taken as: Working

Capital = Current Assets — Current Liabilities. Working capital turnover ratio indicates the velocity of the utilization of net working capital is being used by a firm.

$$Working\ Capital\ Turnover\ Ratio = \frac{Cost\ of\ Sales}{Average\ Working\ Capital}$$

$$Average\ Working\ Capital\ = \frac{Opening\ Working\ Capital + Closing\ Working\ Capital}{2}$$

D. Profitability Ratio

Profitability ratios measure the overall performance of the firm by determining the effectiveness of the firm in generating profit, and are calculated by establishing relationship between profit figures on the one hand, and sales and assets on the other. The various profitability ratios are as follows:

i) **Gross profit ratio:** Gross profit ratio measures the relationship of gross profit to net sales and is usually represented as a percentage. Thus, the formula is:

$$Gross\ Profit\ ratio = \frac{Gross\ Profit}{Net\ Sales} \times 100$$

ii) **Operation ratio:** it establishes the relationship between cost of goods sold and other operating expenses on the one hand and the sales on the other. It measures the cost of operations per rupee of sales.

$$Operation\ Ratio\ = \frac{Operating\ Cost}{Net\ Sales} \times 100$$

$$Operating\ Cost\ = Cost\ of\ Good\ Sold\ + Operating\ Expenses$$

iii) **Operating profit ratio:** This ratio is calculated by diving operating profit by sales. The formula is:

$$Operating\ Profit\ Ratio = \frac{Operating\ Profit}{Net\ Sales} \times 100$$

$$Operating\ Profit = Net\ Sales - (cost\ of\ goods\ sold + Admistating\ and\ office\ expenses + Selling\ and\ distribution\ Sales$$

iv) **Expenses ratio:** It indicates the relationship of various expenses to net sales. Expenses ratio is calculated by dividing each item of expenses or groups of expenses with the net sales to analyze the causes of variation of the operating ratio. The lower the ratio, the greater is the profitability and higher the ratio, lower is the profitability.

$$Expense\ Ratio\ = Particular\ Expense\ Sale\ \times 100$$

$$particular\ Expenses = Cost\ of\ goods\ sold/Administation\ and\ office\ expenses/Selling\ Expenses/Non - Operation\ Expenses\ etc.$$

v) **Net profit ratio:** Net profit ratio establishes a relationship between net profit (after taxes) and sales, and indicates the efficiency of the management in manufacturing, selling, administration and other activities of the firm. This ratio is the overall measures of firms profitability and calculated as:

$$Net\ Profit\ Ratio = \frac{Net\ Profit}{Net\ Sales} \times 100$$

vi) **Cash profit ratio:** The net profit of a firm is affected by the amount / method of depreciation charged. Further depreciation being a non-cash expense. It is better to calculate cash generated from operations and the net sales. Thus,

$$Cash\ Profit\ Ratio = \frac{Cash\ Profit}{Net\ Sales} \times 100$$

$$Cash\ Profit = Net\ Profit + Depreciation$$

Utility Of Ratio Analysis

- Assessment of the firms financial conditions and capabilities.
- Diagnosis of the firms problems, weakness and strengths.
- Credit analysis
- Comparative analysis
- Time series analysis

Cautions In Using Ratio Analysis

- Standards of comparisons
- Company differences
- Price Level
- Different definition
- Changing situations
- Past data

ADVANTAGES OF RATIO ANALYSIS

- It helps in analysis of the situation. i.e., analysis on the financial situation and performance.
- Inter-firm and intra-firm comparison is possible on the basis of accounting ratio.
- Accounting ratio not only indicates the present position but they also indicate the cause leading up to the position of a large extent.
- It helps in obtaining best result when ratios for a number of years are put in tabular form so that the figure for one year can be easily compared with those of other year.
- It indicates the trend of the change, which helps in preparation of estimates for the future.
- They provide simplicity to the complex accounting information presented by the financial statements.
- They are very helpful to outsiders as well as for internal management.
- It is very helpful to internal managements, discharge of the basis managerial functions.
- It also helps in planning, policy making & controlling the activities.
- They are helpful in establishing the standard casting system.

LIMITATIONS OF RATIO ANALYSIS

- Ratio provides only guidelines to the managements they are only the means. However, they scratch surface and raise question. The limitation of the ratio may force the management to have detailed investigation of the situation under question.
- Single accounting ratio is not useful at all unless it is studied with other accounting ration.
- They are based only on the quantitative information. Hence, qualitative information puts limit on the ratios.
- Ratios are subject to arithmetical accuracy of the financial statements. Moreover, financial statements also include estimated date like provision for depreciation, bad and doubtful debts etc. hence, results revealed by ratios are subject to such estimates.
- Ratios are computed on the basis of financial statements which are historical in

nature.

- Knowledge of ratios only is meaningless unless it is also found how it is made up.
- Lack of homogeneity of data, personal judgment, lack of consistency etc. are the factors which limit the conclusion to be derived on the basis of accounting ratios.

METHODS OF LEAST SQUARES (TREND ANALYSIS)

The financial statements may be analyzed by computing trends of series of information. This method determines the direction upwards or downwards and involves the computation of the percentage relationship that each statement item bears to the same item base year. The information for the number of years is taken up and one year, generally the first year, is taken as a base year. The figures of the base year are taken as 100 and trend ratios for other are calculated on the basis of base year. The analyst is able to see the trend of figures, whether upward or downward.

COMPARATIVE STATEMENT ANALYSIS

Comparative statement is those statements, which have designed in a way, so as to provide time perspective to the consideration of the various elements of financial position embodied in such statements. In such statements are proposed for comparison. They are comparative income statement and comparative balance sheet.

i) Comparative Income Statement:

The income statement gives the results of the operations of business. It gives an idea of the progress of a business over a period of time. It has four columns, first two columns give figures of various items for two years and third and fourth columns are used to show increase or decrease in figures in absolute amounts and percentages respectively.

ii) Comparative balance sheet:

The comparative balance sheet analysis is the study of the trend of the same items, group of items and computed items in two or more balance sheets of the same business enterprise on different dates. The changes can be observed by comparison of the balance sheet at the beginning and at the end of a period and these changes can help in forming an opinion

about the progress of an enterprise. Like comparative income statement, balance sheet also has four columns. First two columns for the data original balance sheets and third and fourth columns are used to show increase or decrease in figures in absolute amounts and percentages respectively.

COMMON SIZE STATEMENT

The common-size statements, balance sheet and income statement are shown in analytical percentages. The figures are shown as percentages of total assets, total liabilities and total sales. These statements are known as component percentage or 100 per cent statements because every individual item is started as a percentage of the total 100.

Common-Size balance sheet:

A statement in which balance sheet items are expressed as the ratio of each asset to total assets and the ratio of each liability is expressed as a ratio of total liabilities is called common-size balance sheet.

Common-size income statement:

The items in income statement can be shown as percentages of sales to show the relation of each item to sales. A significant relationship can be established between items of income statement and volume of sales. And this relationship is helpful in evaluating operational activities of the enterprise.

FUND FLOW ANALYSIS

Fund flow statement is a, statement of sources and application of funds, technical device designed to analyze the changes in the financial condition of a business enterprises between two dates. It indicates various means by which the funds have been obtained during a certain period and the ways to which these funds have been used during that period. The term funds, here means working capital.

CASH FLOW ANALYSIS

Cash flow statement is a statement which describes the inflows (sources) and outflows

(uses) of cash and cash equivalents in an enterprise during a specified period of time. Such a statement enumerates net effects of various business transactions of cash. A cash flow statement summarizes the causes of changes in cash position of business enterprise between dates of two balance sheets.

LIMITATIONS OF FINANCIAL ANALYSIS

Financial analysis is a powerful mechanism of determining financial strengths and weakness of a firm. But the analysis is based on the information available in the financial statements. Thus, the financial analysis suffers from serious inherent limitations of financial statements and those are summed up as below:

i. It is only of interim reports.

ii. It is base up on only monetary information and non-monetary factors are ignored.

iii. It does not consider changes in price levels.

iv. As the financial statements are prepared on the basis of a going concern, it does not give exact position. Thus, accounting concepts and conventions cause a serious limitation to financial analysis.

v. Changes in accounting procedure by a firm may often make financial analysis misleading.

vi. Analysis only a means and not an end in itself. Different analyst may interpret the same analysis in different ways.

CHAPTER-4

DATA ANALYSIS AND INTERPRETATION

A. RATIO ANALYSIS

1. CURRENT RATIO

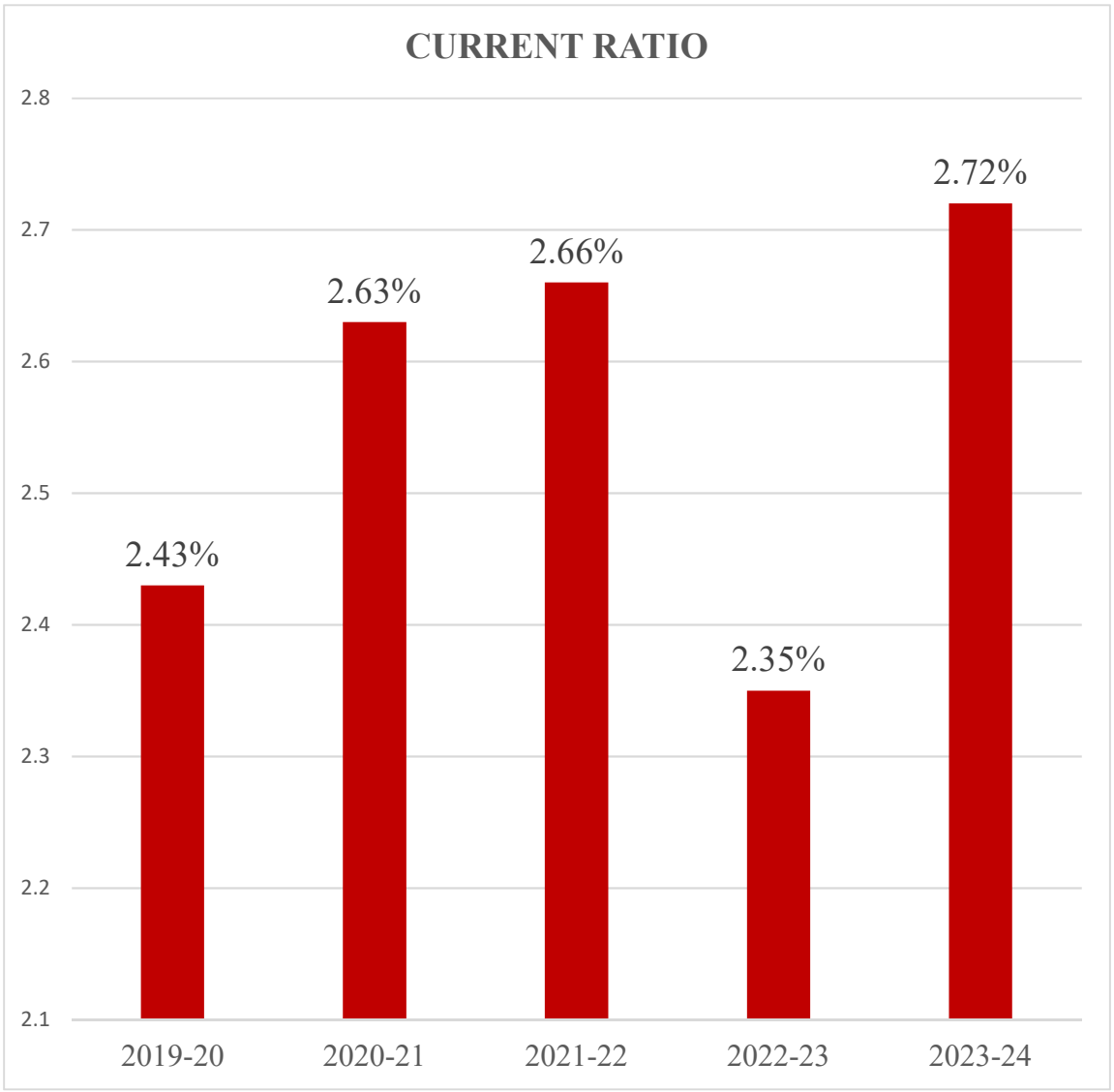
Current ratio is the most common ratio for measuring liquidity. It represents the ratio of current asset and current liability. It also called working capital ratio

$$Current\ Ratio = \frac{Current\ Asset}{Current\ Liabilities}$$

TABLE NO. 4.1 CURRENT RATIO

CURRENT RATIO			
YEAR	**Current asset**	**Current liability**	**Ratio(%)**
2019-20	1586438347	652926538.3	2.43%
2020-21	1813587145	689774976.4	2.63%
2021-22	1964169526	738180767.1	2.66%
2022-23	2000836210	848237912.45	2.35%
2023-24	2196748904	804762525.31	2.72%

FIGURE NO. 4.1 CURRENT RATIO



INTERPRETATION:

The current ratio of Kerafed remained above the standard norm throughout 2019–20, 2020-21, 2021-22, 2022-23 and 2023–24, indicating good liquidity. Although it slightly declined in 2022–23, it improved again in 2023–24. Overall, the company maintained sufficient current assets to meet its short-term liabilities during the study period.

2. QUICK RATIO

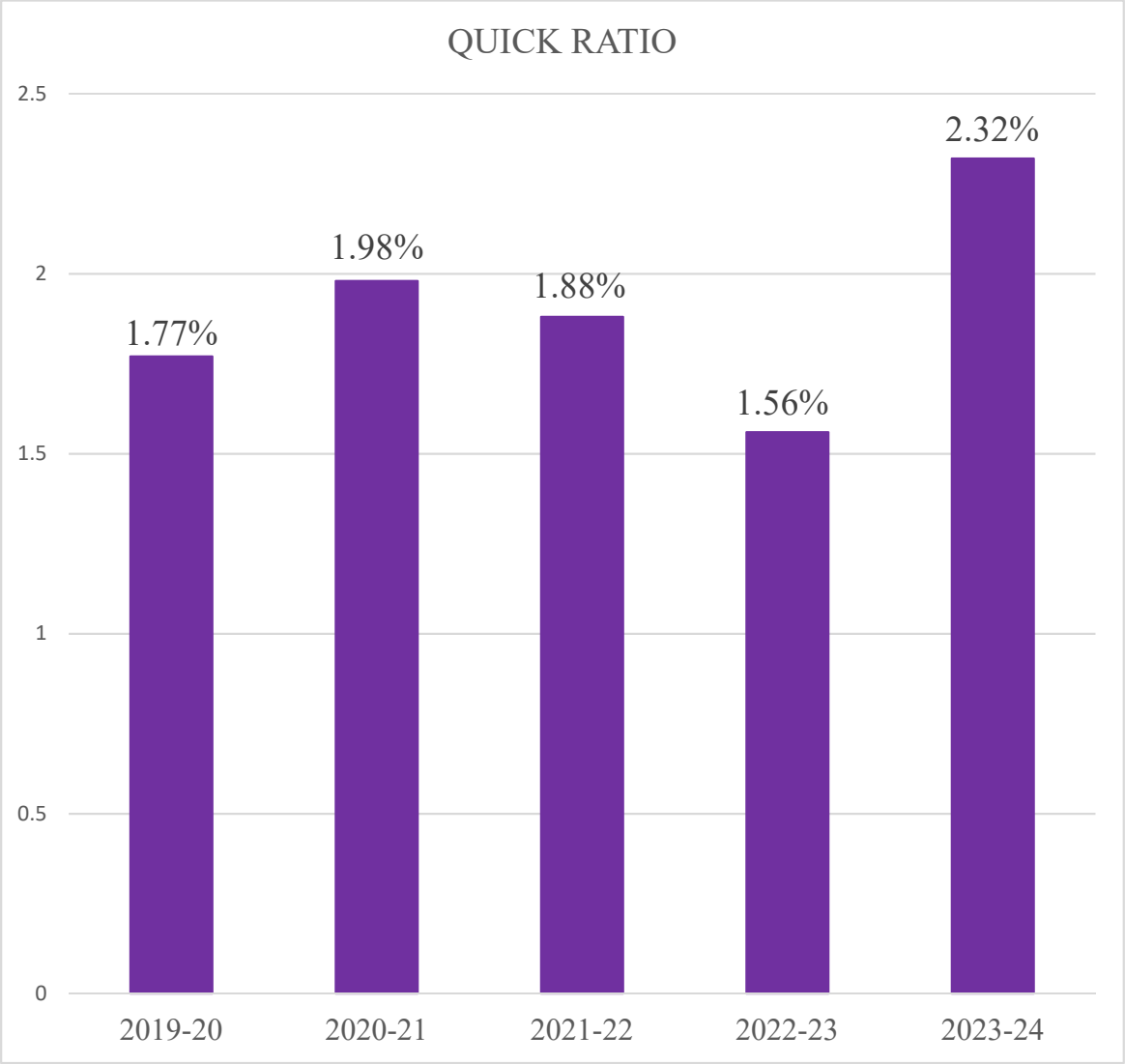
Quick ratio, also called the Acid-Test ratio shows the relationship between quick assets to current liabilities.

$$Quick\ Ratio = \frac{Current\ Asset - Inventory - Prepaid\ Expenses}{Current\ Liabilities}$$

TABLE NO. 4.2 QUICK RATIO

QUICK RATIO			
YEAR	**Quick Asset**	**Quick Liabilities / current liabilities**	**Ratio (%)**
2019-20	1158461624	652926538.3	1.77%
2020-21	1366368770	689774976.4	1.98%
2021-22	1388291324	738180767.1	1.88%
2022-23	1327905869	848242915.15	1.56%
2023-24	1867477421	804762525.31	2.32%

FIGURE NO. 4.2 QUICK RATIO



INTERPRETATION:

The Quick ratio showed Kerafed fluctuations from 2019–20, 2020-21, 2021-22, 2022-23, 2023–24, declining in 2022–23 but increasing significantly in 2023–24. As the ratio remained above 1 during the period, the company maintained adequate liquid assets to meet its short-term obligations, indicating a sound liquidity position.

3. ABSOLUTE LIQUIDITY RATIO

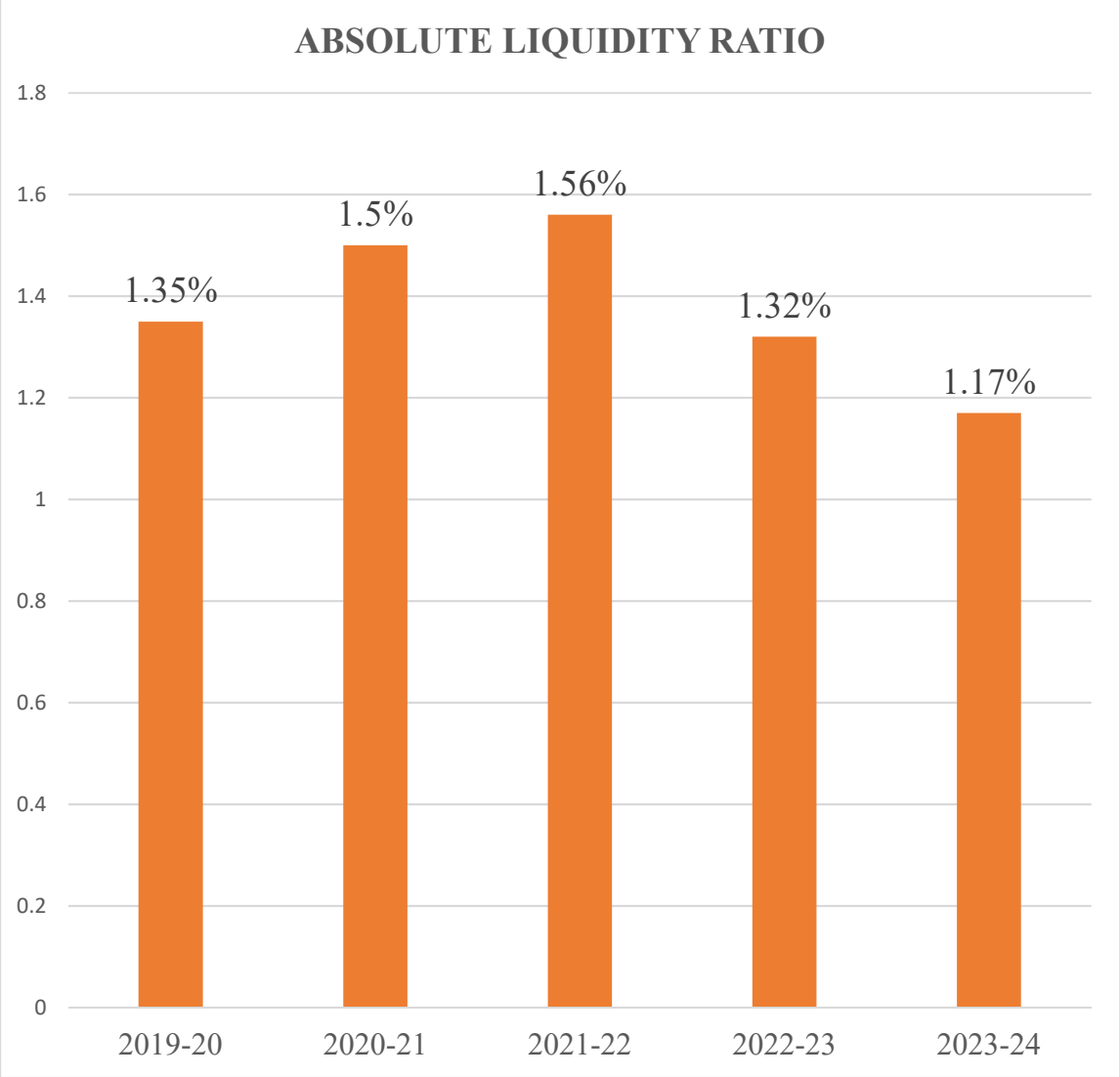
The absolute liquid ratio (or cash ratio) is a stringent financial metric measuring a company's ability to pay short-term liabilities using only its most liquid assets

$$Absolute\ Liquidity\ Ratio = \frac{Absolute\ Liquid\ Asset}{Current\ Liabilities}$$

TABLE NO. 4.3 ABSOLUTE LIQUID RATIO

YEAR	Absolute liquid Asset	Current Liabilities	Ratio (%)
2019-20	878739496.3	652926538.3	1.35%
2020-21	1032289983	689774976.4	1.50%
2021-22	1150790863	738180767.1	1.56%
2022-23	1120217469.64	848237912.45	1.32%
2023-24	949597014	804762525.31	1.17%

FIGURE NO. 4.3 ABSOLUTE LIQUIDITY RATIO



INTERPRETATION:

The absolute liquidity ratio increased from 2019–20 to 2021–22 and then declined in 2022–23 and 2023–24. However, it remained well above the standard level of 0.5 throughout the study period, indicating that the company had sufficient cash and near-cash assets to meet its immediate liabilities. Overall, the firm maintained a satisfactory immediate liquidity position.

4. NET WORKING CAPITAL (NWC)

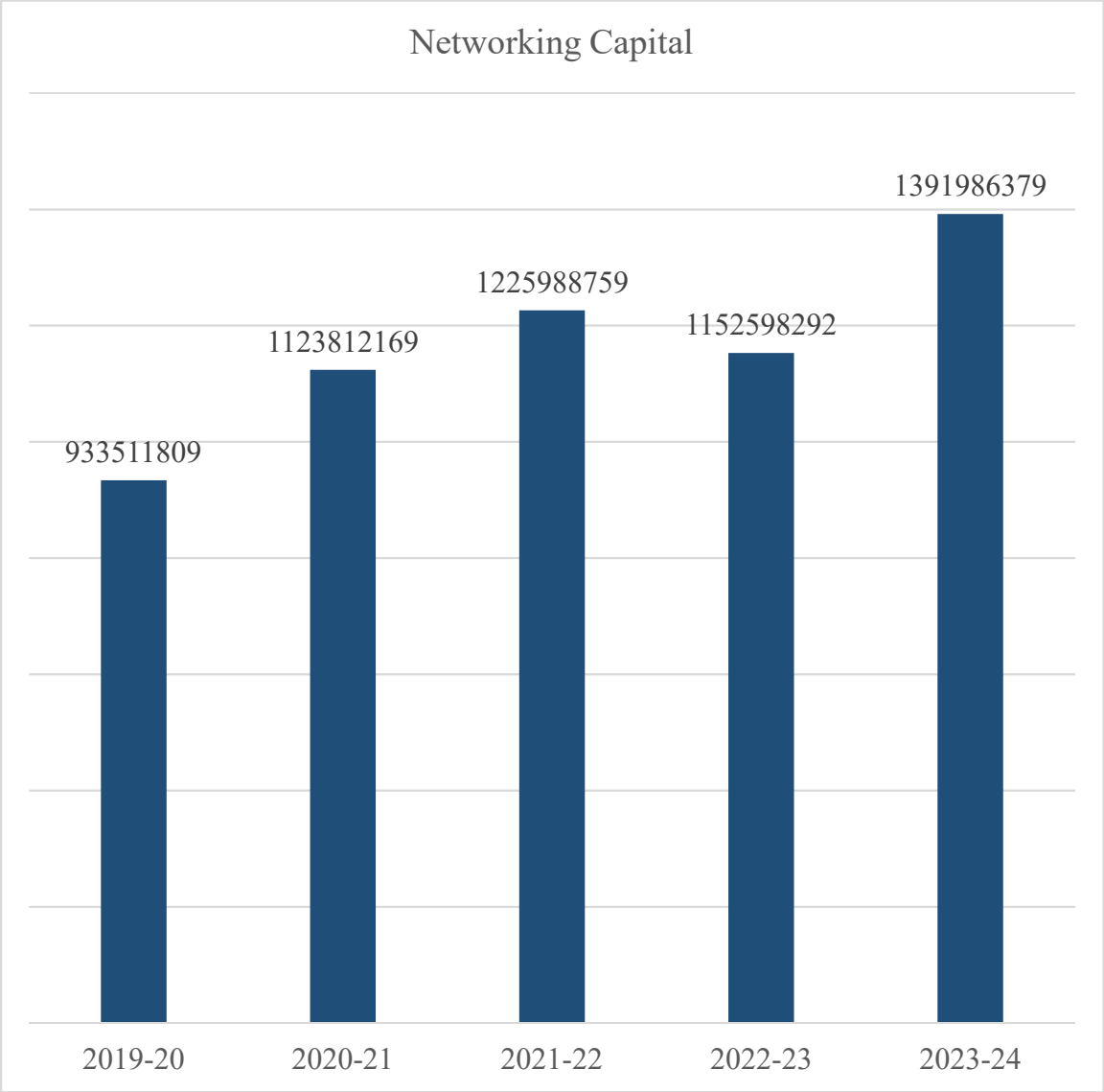
Networking capital is used in measuring the short-term liquidity of a business. It is the aggregate amount of all the current assets and current liabilities

$$Net\ Working\ Capital = Current\ Assets - Current\ Liabilities$$

TABLE NO. 4.4 NET WORKING CAPITAL

YEAR	Current Asset	Current Liabilities	Networking Capital
2019-20	1586438347	652926538.3	933511809
2020-21	1813587145	689774976.4	1123812169
2021-22	1964169526	689774976.4	1225988759
2022-23	2000836210	848237912.45	1152598292
2023-24	2196748904	804762525.31	1391986379

FIGURE NO. 4.4 NETWORKING CAPITAL



INTERPRETATION:

The above figure shows that the working capital increased steadily from 2019–20 to 2021–22, indicating improvement in the company's short-term financial position. It declined slightly in 2022–23 but rose significantly in 2023–24. The overall trend indicates that the company maintained positive working capital throughout the study period, reflecting its ability to meet short-term obligations and operate efficiently.

5. INVENTORY TURNOVER RATIO

The inventory turnover ratio is the number of time a company has sold and replenished its inventory over a specific amount of time. The formula can also be used to calculate the number of days it will take to sell the inventory on hand. The turnover ratio is derived from a mathematical calculation as shown below:

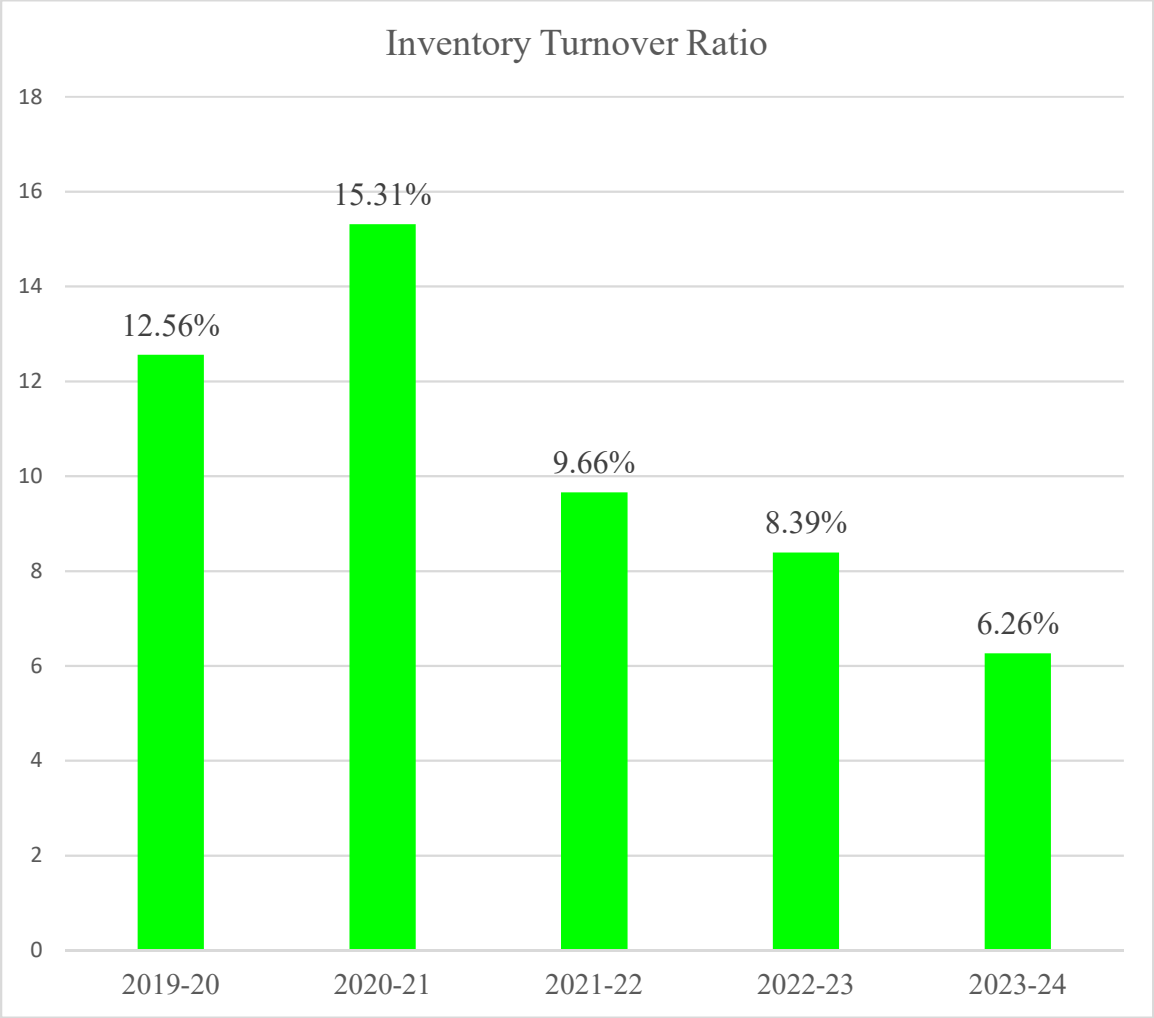
$$Inventory\ Turnover\ Ratio = \frac{Cost\ of\ Goods\ Sold}{Average\ Inventory}$$

$$Cost\ of\ Good\ Sold = Sales\ - Gross\ Profit, \quad Average\ Inventory = \frac{opening\ stock\ + closin\ \ stock}{2}$$

TABLE NO. 4.5 INVENTORY TURNOVER RATIO

YEAR	Cost of goods sold	Average inventory	Ratio
2019-20	2525932785	205858487.4	12.56%
2020-21	2923151604	190875920.5	15.31%
2021-22	2419159956	250410010.5	9.66%
2022-23	2387206968	284247873.09	8.39%
2023-24	2277916396	363835744.29	6.26%

FIGURE NO. 4.5 INVENTORY TURNOVER RATIO



INTERPRETATION:

The above figure shows that the inventory turnover ratio increased from 2019–20 to 2020–21, indicating efficient inventory management during that period. However, it declined steadily from 2021–22 to 2023–24, suggesting a slowdown in inventory movement. This downward trend indicates that the company's efficiency in converting inventory into sales decreased in the later years of the study period. For most industries, the ideal inventory turnover ratio will be between 5 and 10, meaning company will sell and restock inventory roughly every 1-2 months.

6. GROSS PROFIT RATIO

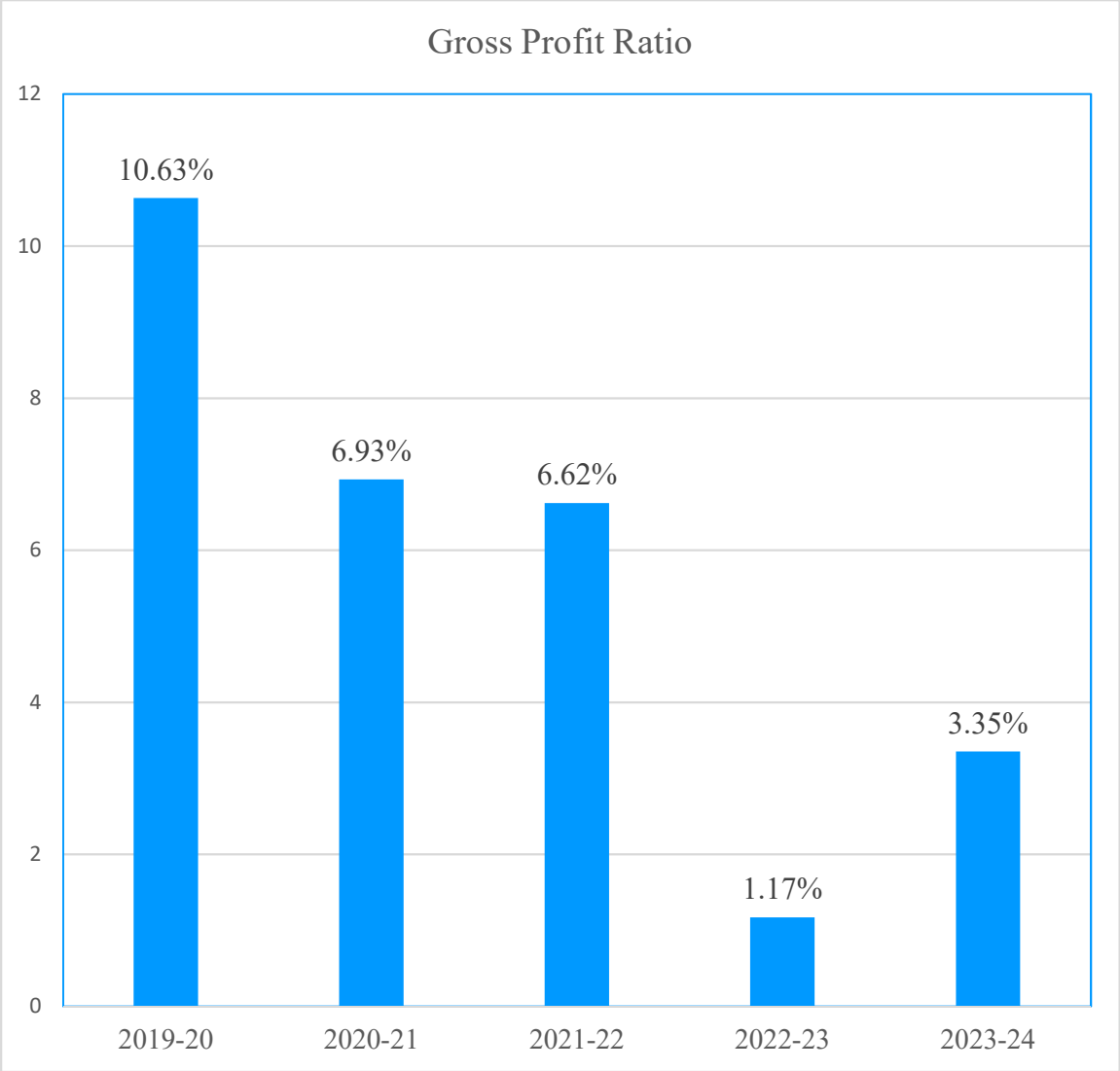
Gross profit ratio is calculated by dividing gross profit by net sales and multiplying it with 100

$$Gross\ profit\ Ratio = \frac{Gross\ Profit}{Net\ Sales} \times 100$$

TABLE NO. 4.6 GROSS PROFIT RATIO

GROSS PROFIT RATIO			
YEAR	**Gross Profit**	**Net Sales**	**GP Ratio**
2019-20	307514721.7	283447506	10.63%
2020-21	217538877.5	3140690481	6.93%
2021-22	171597638.8	2590757595.1	6.62%
2022-23	28176368.38	2415983336.45	1.17%
2023-24	78956574.68	2356872971.39	3.35%

FIGURE NO. 4.6 GROSS PROFIT RATIO



INTERPRETATION:

The above figure shows that the gross profit ratio was highest in 2019–20 and declined significantly in the following years. It decreased from 2020–21 to 2022–23, reaching its lowest point in 2022–23, and slightly improved in 2023–24. The overall declining trend indicates a reduction in the company's profitability and margin over the study period, though there was a marginal recovery in the final year**.**

7. NET PROFIT RATIO

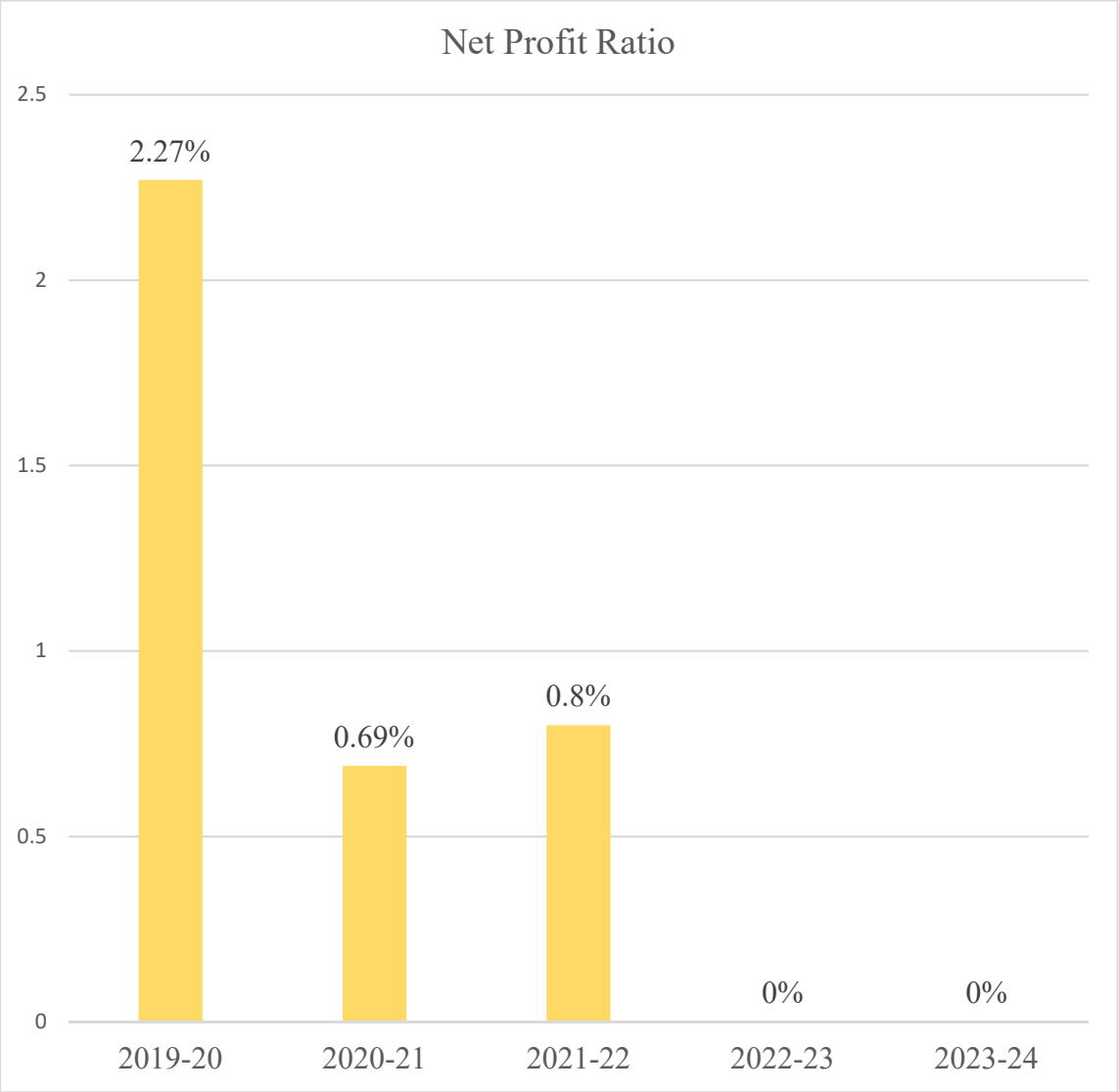
Net profit ratio is calculated by dividing net profit by net sales and multiplying it with 100.

$$Net\ Profit\ Ratio\ = \frac{Net\ Profit}{Net\ Sales} \times 100$$

TABLE NO. 4.7 NET PROFIT RATIO

NET PROFIT RATIO			
YEAR	**NET PROFIT**	**NET SALES**	**N P RATIO**
2019-20	65825649.5	2893447506	2.27 %
2020-21	21683777	3140690481	0.69 %
2021-22	20641072.40	2590757595.11	0.8 %
2022-23	0	2415983336.45	0 %
2023-24	0	2356872971.39	0 %

FIGURE NO. 4.7 NET PROFIT RATIO



INTERPRETATION:

The above figure shows that the net profit ratio was highest in 2019–20 and declined sharply in 2020–21 and 2021–22. It dropped to zero in 2022–23 and 2023–24, indicating that the company did not earn net profit during these years. The overall trend reflects a decline in profitability and a weakening financial performance in the later years of the study period.

8. RETURN ON TOTAL ASSET

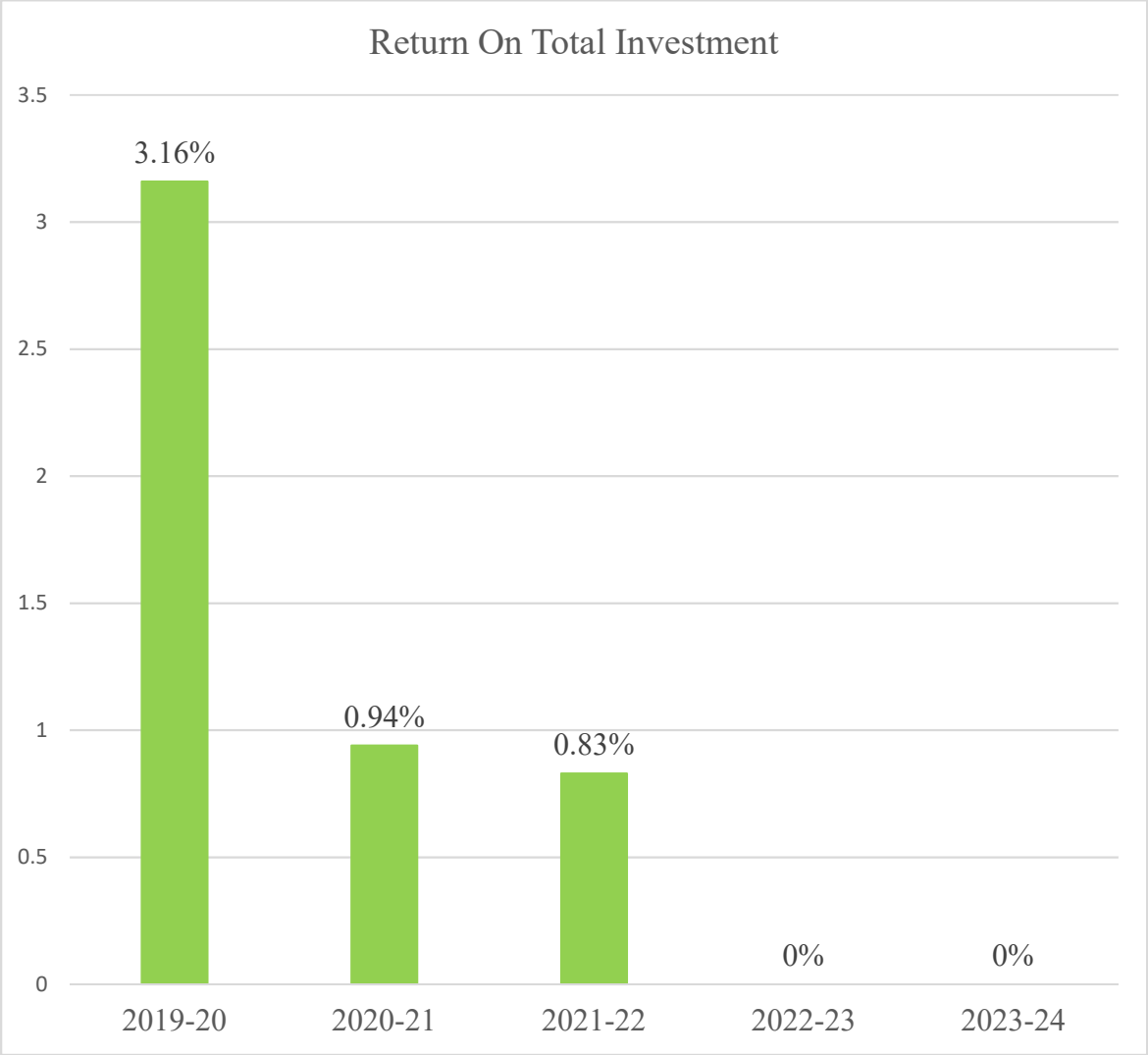
Return on total asset is the ratio of annual net income to average total asset of a business during a financial year. It measures efficiency of the business using its asset to generate net income.

$$Return\ on\ Total\ Asset\ = \frac{Net\ Profit}{Total\ Asset} \times 100$$

TABLE NO. 4.8 RETURN ON TOTAL ASSET

RETURN ON TOTAL ASSET			
Year	**Net Profit**	**Total Asset**	**Ratio**
2019-20	65825649.5	2083953236	3.16 %
2020-21	21683777	2310680180	0.94 %
2021-22	20641072.4	2473741487	0.83 %
2022-23	0	2527230194	0 %
2023-24	0	2780085905	0 %

FIGURE NO. 4.8 RETURN ON TOTAL INVESTMENT



INTERPRETATION:

The above figure shows that the Return on Total Investment was highest in 2019–20 at 3.16, indicating strong profitability and efficient utilization of total assets during that year. However, it declined sharply to 0.94 in 2020–21 and further to 0.83 in 2021–22, reflecting a reduction in returns. In 2022–23 and 2023–24, the ratio dropped to zero, indicating that the company did not generate any return on its total investment in these years. Overall, the trend shows a continuous decline in performance and weakening efficiency in the use of total assets over the study period.

9. PROPRIETARY RATIO

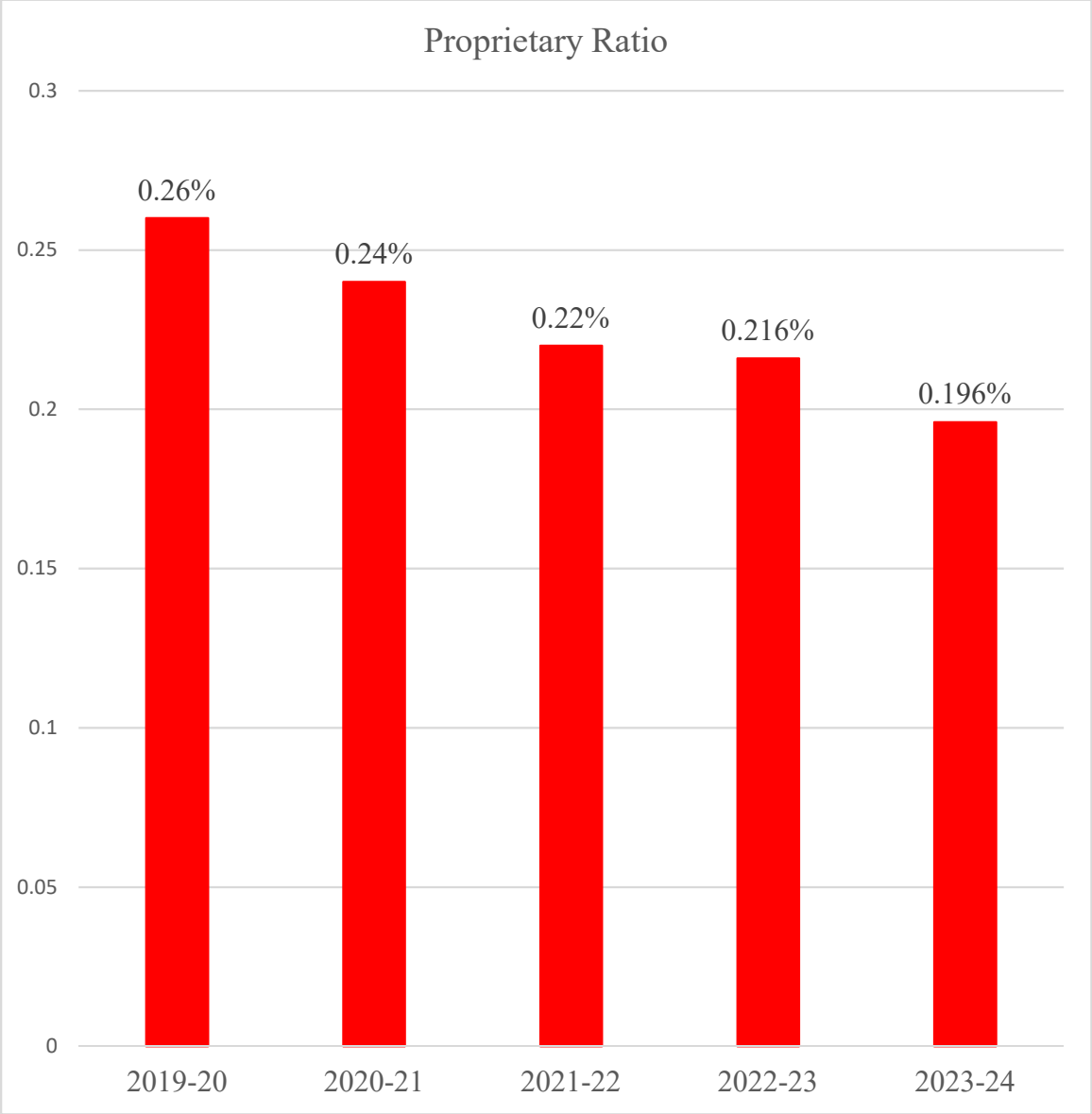
Proprietary ratio relates the shareholders fund to the total asset. It is calculated by dividing shareholders fund by total asset

$$Proprietary\ Ratio\ = \frac{Shareholders\ fund}{Total\ Assets}$$

TABLE NO. 4.9 PROPRIETARY RATIO

PROPRIETARY RATIO			
Year	**Shareholders' Fund**	**Total Asset**	**Ratio**
2019-20	546540000	2083953236	0.26 %
2020-21	546555000	2310680180	0.24 %
2021-22	546555000	2473741487	0.22 %
2022-23	546555000	2527230110	0.216 %
2023-24	546555000	2780085905	0.196 %

FIGURE NO. 4.9 PROPRIETARY RATIO



INTERPRETATION:

The above figure shows that the proprietary ratio steadily declined from 0.26 in 2019–20 to 0.195 in 2023–24. This indicates a decreasing proportion of shareholders' funds in total assets and a growing reliance on external liabilities. The overall trend reflects a weakening long-term financial stability over the study period.

10. FIXED ASSET TO NET WORTH

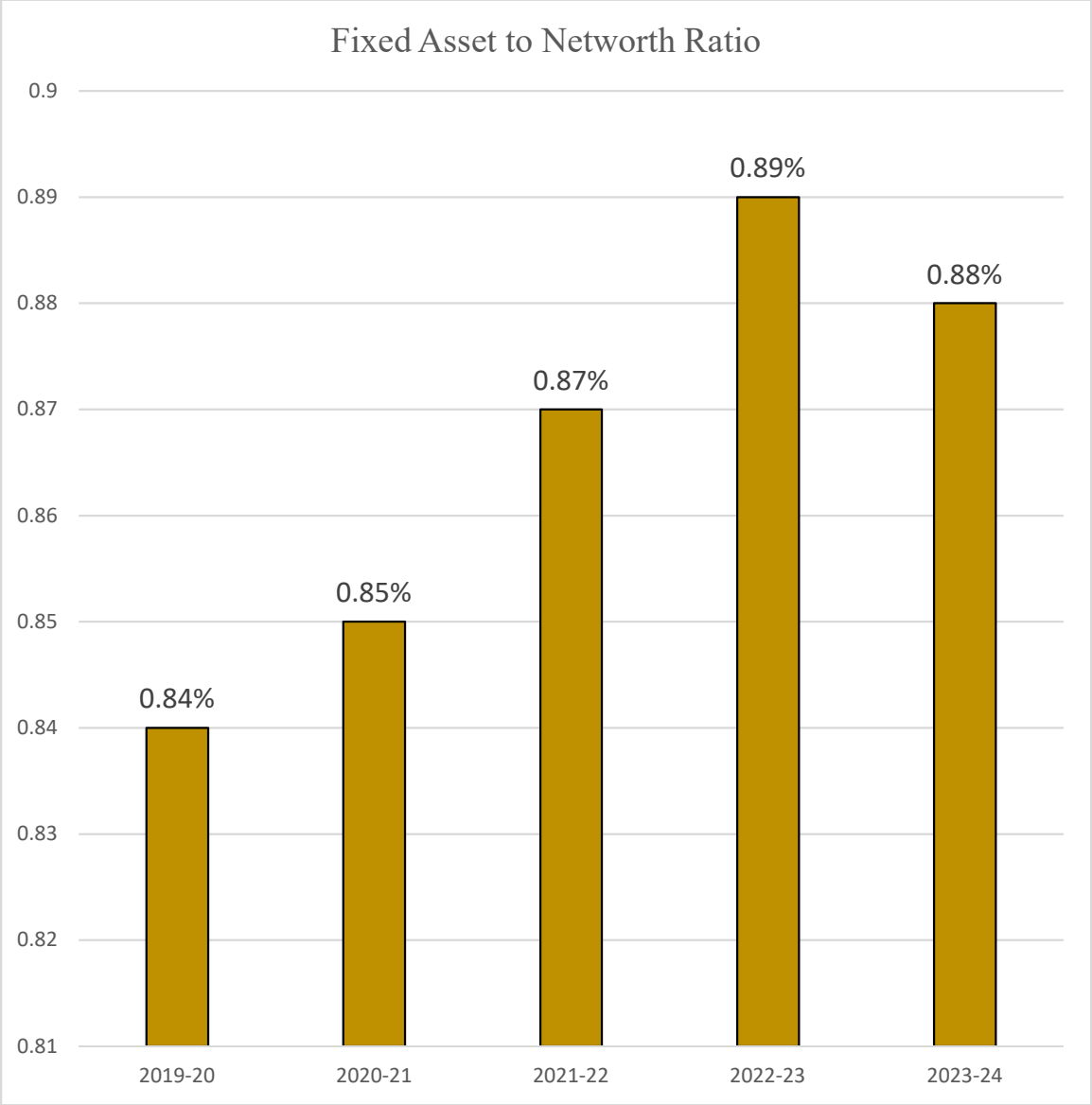
This ratio shows the relationship between the asset and shareholders fund. The purpose of finding out this ratio is to find the percentage of owners fund invested in fixed asset

$$Fixed\ Asset\ to\ Net\ Worth = \frac{Fixed\ Asset}{Net\ Worth\ or\ Shareholders\ Fund}$$

TABLE NO. 4.10 FIXED ASSET TO NET WORTH RATIO

FIXED ASSET TO NETWORTH			
Year	**Fixed Asset**	**Shareholders' Fund**	**Ratio**
2019-20	457908981.5	546540000	0.84 %
2020-21	462128560.9	546555000	0.85 %
2021-22	475581861.9	546555000	0.87 %
2022-23	488888852.46	546555000	0.89 %
2023-24	483966612.82	546555000	0.88 %

FIGURE NO. 4.10 FIXED ASSET TO NETWORTH RATIO



INTERPRETATION:

The above figure shows that the Fixed Asset to Net Worth Ratio increased from 0.84 in 2019–20 to 0.89 in 2022–23, with a slight decline to 0.88 in 2023–24. This indicates that a major portion of the company's net worth was invested in fixed assets. The overall trend suggests higher funds locked in long-term assets, which may increase financial risk.

11.TREND IN SALES

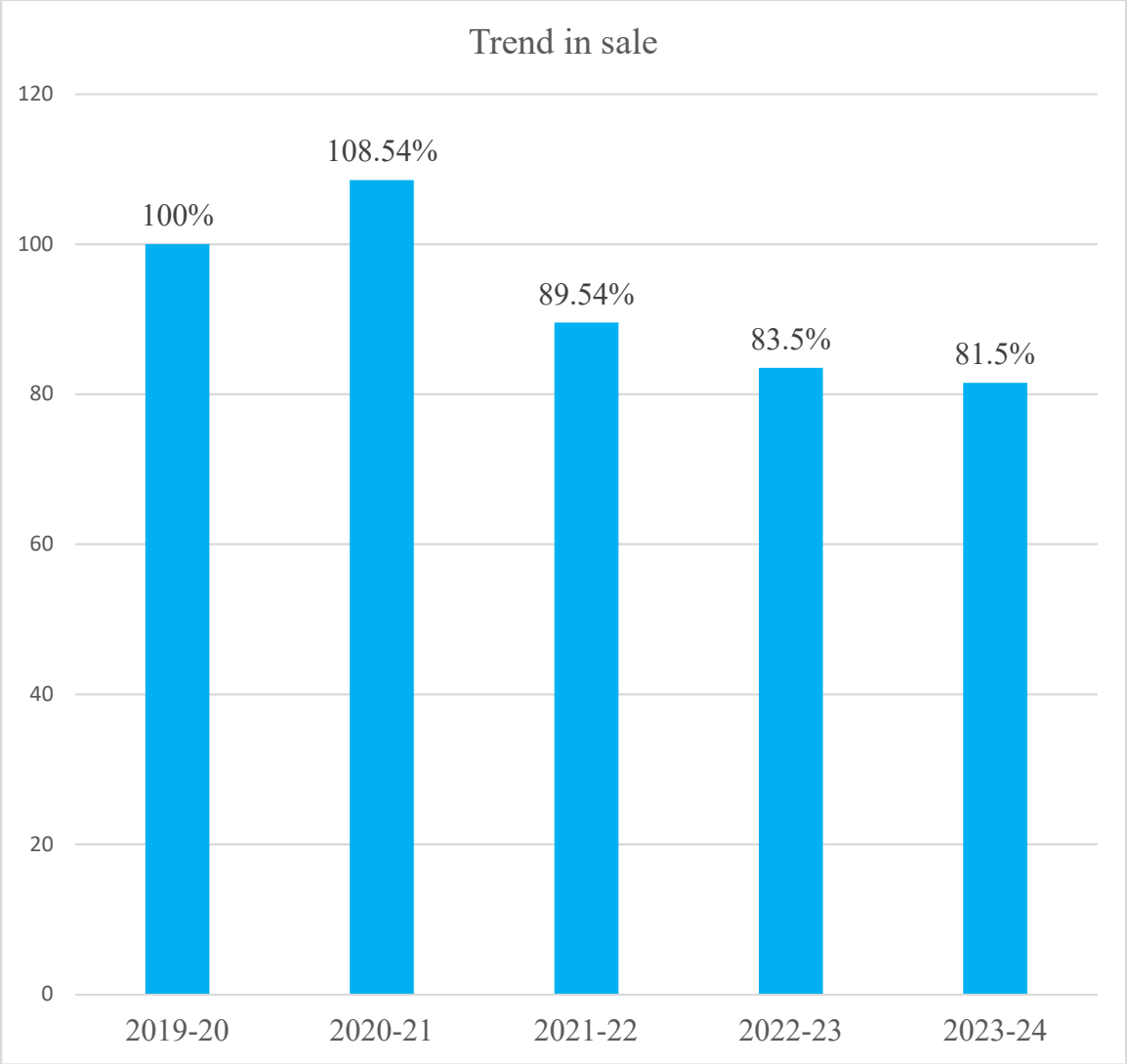
Trend in sales results which aid in knowing the trends of the market over a specific period

$$Trend\ Ratio\ = \frac{Figure\ of\ the\ particular\ year}{Figure\ of\ the\ Base\ year} \times 100$$

TABLE NO. 4.11 TREND IN SALES

Year	Base Year Amount	Amount Sales	Trend %
2019-20	2893447506	2893447506	100 %
2020-21	2893447506	3140690481	108.54 %
2021-22	2893447506	2590757595	89.54 %
2022-23	2893447506	2415983336.45	83.50 %
2023-24	2893447506	2356872971.39	81.50 %

FIGURE NO. 4.11 TREND IN SALE



INTERPRETATION:

The above figure shows that sales increased from 100 in 2019–20 to 108.54 in 2020–21, indicating initial growth. However, sales declined to 89.54 in 2021–22 and continued to decrease to 83.5 in 2022–23 and 81.5 in 2023–24. The overall trend reflects a downward movement in sales after 2020–21, suggesting a decline in the company's revenue performance during the later years of the study period.

12. TREND IN CURRENT LIABILITY

Current liabilities represent a company's short-term financial obligations due within one year or one operating cycle.

$$Trend\ Ratio\ = \frac{Figure\ of\ the\ particular\ year}{Figure\ of\ the\ Base\ year} \times 100$$

TABLE NO. 4.12 TREND IN CURRENT LIABILITY

Year	Base Year current liability	Current liability	Trend %
2019-20	652926538.3	652926538.3	100 %
2020-21	652926538.3	689774976.4	105.64 %
2021-22	652926538.3	738180767.1	113.06 %
2022-23	652926538.3	848237912.45	129.91 %
2023-24	652926538.3	804762525.31	123.25 %

FIGURE NO. 4.12 TREND IN CURRENT LIABILITY



INTERPRETATION:

The figure shows that current liabilities rose consistently from 2019–20 to 2022–23, reaching a peak in 2022–23, and then slightly declined in 2023–24. Despite the small decrease in the final year, the overall trend indicates an increase in short-term financial obligations during the study period.

B. COMPARATIVE STATEMENT ANALYSIS

TABLE NO. 4.13 COMPARATIVE BALANCE SHEET OF KERAFED – 2019 AND 2020

PARTICULARS	31/03/2019	31/03/2020	INCREASE / DECREASE AMOUNT	INCREASE / DECREASE %
I.EQUITY AND LIABILITIES				
1.SHARE CAPITAL(A)				
A.GOVERNMENT OF KERALA	361580000	361580000	0	0
NCDC	172800000	172800000	0	0
CO-OPERATIVE SOCITIES	12165000	12160000	-5000	-0.04110152
B.FUNDS AND RESERVES	567023608. 5	606044936	39021327.5	6.881781802
C.CAPITAL RESERVE ON DISPOSAL OF FURNITURE	0	0	0	0
D.GRANT & SUBSIDY	163160584. 7	92314554.74	-70846030	43.42104445
E.SHARE CAPITAL ASSISTANCE TO PACS	149600000	149600000	0	0
2. CURRENT LIABILITIES (B)				
A.ESTABLISHMENT & CONTINGENCIES PAYABLE	8485852	6658724	-1827128	21.53146201
B.INTEREST ON TERM LOAN	403894929	403894929	0	0
C.OTHER CURRENT LIABILITIES	2161991.97	1850363	-311628.97	14.41397444
D.DUE BY FEDERATION	199091467. 3	240522522.3	41431055	20.8100606

E.NET PROFIT	0	65825649	65825649	100
TOTAL (A+B)	**2039963434**	**2113251678**	**73288244**	**3.592625376**
II ASSETS				
1.FIXED ASSET (C)				
SHARE CAPITAL TO PACS	19585404	39605907	20020503	102.2215472
PLANT WORK IN PROGRESS	0	12640704.32	12640704.32	100
OTHER FIXED ASSET	443284332.7	445268277	1983944.3	0.4475557
DEFICIT STOCK OF COPRA AT THRISSUR	17554215	17554215	0	0
DEFICIT STOCK 2000-01	56762.07	56762.07	0	0
DEFICIT STOCK	11687465.74	11687465.74	0	0
NETLOSS	172955366.7	0	-172955366.7	-100
CURRENT ASSET (D)				
CASH IN HAND	29391	61387	31996	108.8632575
CASH AT BANK	694562784.3	878678109.3	184115325	26.50808957
OTHER CURRENT ASSET	10137142	18238939	8101797	79.92190501
DEBTOR	158085186.4	261483188.47	103398002.1	65.40650925
EQUIPMENT PACS	3435419.36	0	-3435419.36	-100

ADJUSTING HEAD TO ADVANCE	274159759.1	250689953.8	-23469805.3	8.56063099
STOCK IN TRADE	234430205.1	177286769.7	-57143435.4	24.37545767
TOTAL (A)	**2039963434**	**2113251678**	**73288244**	**3.592625376**

INTERPRETATION:

During the years 2019-2020, the company overcame the net losses. Net profit after the set off of the net losses is Rs.65825649/-. In this period (2019-20), the company also increased current assets.

TABLE NO. 4.14 COMPARATIVE BALANCE SHEET OF KERAFED – 2020 AND 2021

PARTICULARS	31/03/2020	31/03/2021	INCREASE / DECREASE AMOUNT	INCREASE/ DECREASE %
I.EQUITY AND LIABILITIES				
1.SHARE CAPITAL(A)				
A.GOVERNMENT OF KERALA	361580000	361580000	0	0
NCDC	172800000	172800000	0	0
CO-OPERATIVE SOCITIES	12160000	12175000	15000	0.123355263
B.FUNDS AND RESERVES	606044936	771053817.4	165008881.4	27.22716941
C.CAPITAL RESERVE ON DISPOSAL OF FURNITURE	0	0	0	0
D.GRANT & SUBSIDY	92314554.74	97985402.74	5670848	6.14296198
E.SHARE CAPITAL ASSISTANCE TO PACS	149600000	147100000	-2500000	1.671122995
2. CURRENT LIABILITIES (B)				
A.ESTABLISHMENT & CONTINGENCIES PAYABLE	6658724	23588359	16929635	254.2474354
B.INTEREST ON TERM LOAN	403894929	403894929	0	0
C.OTHER CURRENT LIABILITIES	1850363	1941057	90694	4.901416641
D.DUE BY FEDERATION	240522522.3	260350631.4	19828109.1	8.243763998

E.UN DISTRIBUTED PROFIT 31.03.2020	0	65825649.5	65825649.5	100
E.NET PROFIT	65825649	21683777.08	44141871.92	67.05877206
TOTAL (A+B)	**2113251678**	**2339978623**	**226726945**	**10.72881888**
II ASSETS				
1.FIXED ASSET (C)				
SHARE CAPITAL TO PACS	39605907	34964474	-4641433	11.71904231
PLANT WORK IN PROGRESS	12640704.32	16520414.7	3879710.38	30.69220102
OTHER FIXED ASSET	445268277	445608146.2	339869.2	0.076329084
DEFICIT STOCK OF COPRA AT THRISSUR	17554215	17554215	0	0
DEFICIT STOCK 2000-01	56762.07	56762.07	0	0
DEFICIT STOCK	11687465.74	11687465.74	0	0
NETLOSS	0	0	0	0
CURRENT ASSET (D)				
CASH IN HAND	61387	134749	73362	119.5073876
CASH AT BANK	878678109.3	1032155234	153477124.7	17.46682011
OTHER CURRENT ASSET	18238939	9958512	-8280427	-45.3997187
DEBTOR	261483188.47	324120275.04	62637086.57	23.95453679

EQUIPMENT PACS	0	0	0	0
ADJUSTING HEAD TO ADVANCE	250689953.8	240698864.1	-9991089.7	3.985436811
STOCK IN TRADE	177286769.7	204465071.2	27178301.5	15.33013521
STOCK IN TRANSIT	0	2054440	2054440	100
TOTAL (A)	**2113251678**	**2339978623**	**226726945**	**10.72881888**

INTERPRETATION:

During 2020-21 company had to distribute the profit, (31/03/2020), the amount of Rs.65825649/-.The amount by which the profit increased from 2020 to 2021 is Rs.44141871.92/-

TABLE NO. 4.15 COMPARATIVE BALANCE SHEET OF KERAFED -2021 AND 2022

PARTICULARS	31/03/2021	31/03/2022	INCREASE / DECREASE AMOUNT	INCREASE / DECREASE %
I.EQUITY AND LIABILITIES				
1.SHARE CAPITAL(A)				
A.GOVERNMENT OF KERALA	361580000	361580000	0	0
NCDC	172800000	172800000	0	0
CO-OPERATIVE SOCITIES	12175000	12175000	0	0
B.FUNDS AND RESERVES	771053817	905947572.6	134893755.6	17.49472639
C.CAPITAL RESERVE ON DISPOSAL OF FURNITURE	0	0	0	0
D.GRANT & SUBSIDY	97985402.74	127931740.74	29946338	30.56204002
E.SHARE CAPITAL ASSISTANCE TO PACS	147100000	142100000	-5000000	-3.399048266
2. CURRENT LIABILITIES (B)				
A.ESTABLISHMENT & CONTINGENCIES PAYABLE	23588359	15665459	-7922900	-33.58817797
B.INTEREST ON TERM LOAN	403894929	403894929	0	0

C. OTHER CURRENT LIABILITIES	1941057	1069039	-872018	-44.92490432
D. DUE BY FEDERATION	260350631.4	317551340.1	57200708.7	21.97064336
E. UN DISTRIBUTED PROFIT 31.03.2020	65825649.5	21683777.1	-44141872.4	-67.05877228
E. NET PROFIT	21683777.08	20641072.4	-1042704.68	-4.808685665
TOTAL (A+B)	**2339978623**	**2503039929**	**163061306**	**6.968495541**
II ASSETS				
1.FIXED ASSET (C)				
SHARE CAPITAL TO PACS	34964474	33990099	-974375	2.78675721
PLANT WORK IN PROGRESS	16520414.7	27735252.6	11214837.9	67.88472386
OTHER FIXED ASSET	445608146.2	447846609.4	2238463.2	0.502338931
DEFICIT STOCK OF COPRA AT THRISSUR	17554215	17554215	0	0
DEFICIT STOCK 2000-01	56762.07	56762.07	0	0
DEFICIT STOCK	11687465.74	11687465.74	0	0
NETLOSS	0	0	0	0
CURRENT ASSET (D)				
CASH IN HAND	134749	86298	-48451	-35.95648205

CASH AT BANK	1032155234	1150704565	118549331	11.4856106
OTHER CURRENT ASSET	9958512	12450280	2491768	25.02148915
DEBTOR	324120275.04	225050181.02	-99070094.02	-30.56584288
EQUIPMENT PACS	0	0	0	0
ADJUSTING HEAD TO ADVANCE	240698864.1	281577692.13	40878828.03	16.9833905
STOCK IN TRADE	204465071.2	294300509.67	89835438.47	43.93681422
STOCK IN TRANSIT	2054440	0	-2054440	-100
TOTAL (A)	2339978623	2503039929	163061306	6.968495541

INTERPRETATION:

During 2021-22 company had a decrease in net profit by 4.81% from the base year. And, also debtors decreased by 30.57% from the base year.

TABLE NO. 4.16 COMPARATIVE BALANCE SHEET OF KERAFED – 2022 AND 2023

PARTICULARS	30/03/2022	31/03/2023	INCREASE / DECREASE AMOUNT	INCREASE / DECREASE %
1.EQUITY AND LIABILITIES				
1.SHARE CAPITAL[A]				
A.GOVERNMENT OF KERALA	361580000	361580000	0	0
NCDC	172800000	172800000	0	0
CO-OPERATIVE SOCITIES		12175000	0	0
B.FUNDS AND RESERVES	905947572.6	900916323	-5031249.44	-0.5553576
C.CAPITAL RESERVE ON DISPOSAL OFF FURNITURE				
D.GRANT& SUBSIDY	127931740.74	142727643.02	14795902.28	11.565466
E.SHARE CAPITAL ASSISTANCE TO PACS	142100000	106575000	-35525000	-25
2. CURRENT LIABILITIES[B]				
A.ESTABLISHMENT & CONTIGENCIES PAYABLE	15665459	15134252.60	-531206.4	-3.390940
B.INTEREST ON TERM LOAN	403894929	403894929	0	0
C.OTHER CURRENT LIABILITIES	1069039	952916	-116123	-10.8623
D.DUE TO FEDRATION	317551340.1	428255814.85	110704474.75	34.861913
E.UN DISTRIBUTION PROFIT 31-03-2021	21683777.1	42324849.48	20641072.38	95.191314
F.NET PROFIT	20641072.14	11516758.17	-9124314.23	-44.204652

TOTAL (A+B)	**2503039929**	**2598853486.12**	**95813556.32**	**3.827887**
II ASSETS				
1.FIXED ASSET(C)				
SHARE CAPÌTAL TO PACS	33990099	3334120	-30655979	-1.9004916
PLANT WORK IN PROGRESS	27735252.6	4161016.97	-23574235.63	-84.9973712
OTHER FIXED ASSET	447846609.4	488888852.46	41042243.06	9.1643527
DEFICIT STOCK OF COPRA AT THRISSUR	17554215	17554215	0	0
DEFICIT STOCK 2001-02	56762.07	56762.07	0	0
DEFICIT STOCK	11687465.74	11687465.74	0	0
NETLOSS				
CURRENT ASSET (D)				
CASH AT HAND	86298	66174.50	-20123.5	-23.318616
CASH AT BANK	1150704565.31	1120151295.14	-30553270.17	-2.65517
OTHER CURRENT ASSET	12450280	22818617	10368337	83.27794
DEBTOR	225050181.2	184869782.06	-40180399.14	-17.85397
EQUIPMENT PACS	0	0	0	0
ADJUSTING HEAD TO ADVANCE	281577692.13	398735099.35	117157407.22	41.607488

STOCK IN TRADE	294300509.67	274195236.51	-20105273.16	-6.831545
STOCK IN TRANSIT	0	0	0	0
TOTAL (A)	2503039930.12	2526518636.8	23478706.68	0.938007

INTERPRETATION:

During the year 2022 and 2023, there was no net profit, the company had net loss

TABLE NO. 4.17 COMPARATIVE BALANCE SHEET OF KERAFED – 2023 AND 2024

PARTICULARS	31/03/2023	31/03/2024	INCREASE / DECREASE AMOUNT	INCREASE / DECREASE %
1.EQUITY AND LIABILITIES				
1.SHARE CAPITAL[A]				
A.GOVERNMENT OF KERALA	361580000	534380000	172800000	47.790253
NCDC	172800000	0	-172800000	-100
CO-OPERATIVE SOCITIES	12175000	12175000	0	0
B.FUNDS AND RESERVES	900916323.16	1215000737	314084413.84	34.862773
C.CAPITAL RESERVE ON DISPOSAL OFF FURNITURE				
D.GRANT& SUBSIDY	142727643.02	142727643.02	0	0
E.SHARE CAPITAL ASSISTANCE TO PACS	106575000	71050000	-35525000	-3.307529
2. CURRENT LIABILITIES[B]				
A.ESTABLISHMENT & CONTIGENCIES PAYABLE	15134252.60	15963072.25	828819.65	5.476449
B.INTEREST ON TERM LOAN	403894929	403894929	0	0
C.OTHER CURRENT LIABILITIES	952916	1047780	94864	9.955127
D.DUE TO FEDRATION	428255814.85	383856744.06	110704474.75	2.585008
E.UN DISTRIBUTION PROFIT 31-03-2021	42324849.48	0	-42324849.48	-100
F.NET PROFIT	11516758.17	0	-11516758.17	-100

TOTAL (A+B)	**2598853486.12**	**2780095905.33**	**181242419.21**	**6.9739375**
II ASSETS				
1.FIXED ASSET(C)				
SHARE CAPÌTAL TO PACS	33344120	32847720	-496400	-1.48871
PLANT WORK IN PROGRESS	4161016.97	4197677.59	36660.62	0.881049
OTHER FIXED ASSET	488888852.46	483966612.82	-4922239.64	-1.006821
DEFICIT STOCK OF COPRA AT THRISSUR	17554215	17554215	0	0
DEFICIT STOCK 2001-02	56762.07	54762.07	0	0
DEFICIT STOCK	11687465.74	11687465.74	0	0
NETLOSS				
CURRENT ASSET (D)				
CASH AT HAND	66174.50	72702	6528	9.864827
CASH AT BANK	1120151295.14	949524312.31	-170626982.83	-15.232494
OTHER CURRENT ASSET	22818617	35064331	12245714	53.665452
DEBTOR	184869782.06	209724441.02	24854658.96	13.444414
EQUIPMENT PACS	0	0	0	0
ADJUSTING HEAD TO ADVANCE	398735099.35	670741635.61	272006536.26	68.217354

STOCK IN TRADE	274195236.51	329271481.77	55076245.26	20.086506
STOCK IN TRANSIT	0	0	0	0
TOTAL (A)	2526518636.8	2744707356.93	218188720.13	8.635943

INTERPRETATION:

The comparative balance sheet indicates that total assets increased from 2023 to 2024, showing overall growth in the company's financial position. Stock in trade and debtors recorded noticeable increases, reflecting improved business activity, while cash at bank showed a decline. On the liabilities side, share capital and reserves also increased, strengthening the capital base. Overall, the company demonstrates expansion along with improved financial stability.

C. COMMON SIZE BALANCE SHEET ANALYSIS

TABLE NO. 4.18 COMMON SIZE BALANCE SHEET OF KERAFED 2019 AND 2020

PARTICULARS	ABSOLUTE AMOUNT		PERCENTAGE OF BALANCE SHEET	
	31.03.2019	31.03.2020	31.03.2019	31.03.2020
I.EQUITY AND LIABILITIES				
1.SHARE CAPITAL (A)				
a.Government of Kerala	361580000	361580000	17.72	17.11
NCDC	172800000	172800000	8.47	8.18
Co-operative Societies	12165000	12160000	0.60	0.58
b.Funds and Reserves	567023608.5	606044936	27.80	28.68
c.Capital reserve on disposal of furniture	0	0	0.00	0.00
d. Grants & Subsidy	163160584.7	92314554.74	8.00	4.37
e.Share Capital Assistance To PACS	149600000	149600000	7.33	7.08
2.CURRENT LIABILITIES (B)				
A.Establishment & Contigencies Payable	8485852	6658724	0.42	0.32
B.Interest On Term Loan	403894929	403894929	19.80	19.11
C.Other Current Liabilities	2161991.97	1850363	0.11	0.09
D.Due By Federation	199091467.3	240522522.3	9.76	11.38
E.Net Profit	0	65825649	0.00	3.11
Total (A+B)	**2039963434**	**2113251678**	**100**	**100**
II ASSETS				
1.FIXED ASSET (C)				
Share Capital To Pacs	19585404	39605907	0.96	1.87

Plant Work in Progress	0	12640704.32	0.00	0.60
Other Fixed Asset	443284332.7	445268277	21.73	21.07
Deficit Stock Copra At Thrissur	17554215	17554215	0.86	0.83
Deficit Stock 2000-01	56762.07	56762.07	2.78	2.69
Deficit Stock	11687465.74	11687465.74	0.57	0.55
Netloss	172955366.7	0	8.48	0.00
CURRENT ASSET (D)				
Cash in Hand	29391	61387	1.441	2.905
Cash at Bank	694562784.3	878678109.3	34.05	41.58
Other Current Asset	10137142	18238939	0.50	0.86
Debtor	158085186.4	261483188.47	7.75	12.37
Equipment to Pacs	3435419.36	0	0.17	0.00
Adjusting Head To Advance	274159759.1	250689953.8	13.44	11.86
Stock in Trade	234430205.1	177286769.7	11.49	8.39

INTERPRETATION:

From the balance sheet on 31/03/2020, current asset percentage also increased. Cash at bank was 41.58% of total asset. And earned a net profit of 3.11%.

TABLE NO. 4.19 COMMON SIZE BALANCE SHEET OF KERAFED 2020 AND 2021

PARTICULARS	ABSOLUTE AMOUNT		PERCENTAGE OF BALANCE SHEET	
	31.03.2020	**31.03.2021**	**31.03.2020**	**31.03.2021**
I.EQUITY AND LIABILITIES				
1.SHARE CAPITAL (A)				
a.Government of Kerala	361580000	361580000	17.11	15.45
NCDC	172800000	172800000	8.18	7.38
Co-operative Societies	12160000	12175000	0.58	0.52
b.Funds and Reserves	606044936	771053817.4	28.68	32.95
c.Capital reserve on disposal of furniture	0	0	0.00	0.00
d. Grants & Subsidy	92314554.74	97985402.74	4.37	4.19
e.Share Capital Assistance To PACS	149600000	147100000	7.08	6.29
2.CURRENT LIABILITIES (B)				
A.Establishment & Contigencies Payable	6658724	23588359	0.32	1.01
B.Interest On Term Loan	403894929	403894929	19.11	17.26
C.Other Current Liabilities	1850363	1941057	0.09	0.08
D.Due by Federation	240522522.3	260350631.4	11.38	11.13
E.Un distributed profit:31.03.2020	0	65825649.5	0.00	2.81
E.Net Profit	65825649	21683777.08	3.11	0.93
Total (A+B)	**2113251678**	**2339978623**	**100**	**100**
II ASSETS				
1.FIXED ASSET (C)				
Share Capital to Pacs	39605907	34964474	1.87	1.49
Plant Work in Progress	12640704.32	16520414.7	0.60	0.71

Other Fixed Asset	445268277	445608146.2	21.07	19.04
Deficit Stock Copra At Thrissur	17554215	17554215	0.83	0.75
Deficit Stock 2000-01	56762.07	56762.07	2.69	2.43
Deficit Stock	11687465.74	11687465.74	0.55	0.50
Net loss	0	0	0.00	0.00
CURRENT ASSET (D)				
Cash in Hand	61387	134749	2.90	5.76
Cash at Bank	878678109.3	1032155234	41.58	44.11
Other Current Asset	18238939	9958512	0.86	0.43
Debtor	261483188.47	324120275.04	12.37	13.85
Equipment to Pacs	0	0	0.00	0.00
Adjusting Head To Advance	250689953.8	240698864.1	11.86	10.29
Stock in Trade	177286769.7	204465071.2	8.39	8.74
Stock in Transit	0	2054440	0.00	0.09
TOTAL (A)	**2113251678**	**2339978623**	**100**	**100**

INTERPRETATION:

From the balance sheet on 31/03/2021, current asset percentage also increased, Cash at bank was 44.11% of total asset And the debtors percentage increased to 13.85% of total asset.

TABLE NO. 4.20 COMMON SIZE BALANCE SHEET OF KERAFED 2021 AND 2022

PARTICULARS	ABSOLUTE AMOUNT		PERCENTAGE OF BALANCE SHEET	
	31.03.2021	**31.03.2022**	**31.03.2021**	**31.03.2022**
I.EQUITY AND LIABILITIES				
1.SHARE CAPITAL (A)				
a.Government of Kerala	361580000	361580000	15.45	14.45
NCDC	172800000	172800000	7.38	6.9
Co-operative Societies	12175000	12175000	0.52	0.49
b.Funds and Reserves	771053817.41	905947572.60	32.95	36.19
c.Capital reserve on disposal of furniture	0	0	0.00	0.00
d. Grants & Subsidy	97985402.74	127931740.74	4.2	5.11
e.Share Capital Assistance To PACS	147100000	142100000	6.29	5.7
2.CURRENT LIABILITIES (B)				
A.Establishment & Contigencies Payable	23588359	15665459	1.01	0.63
B.Interest On Term Loan	403894929	403894929	17.26	16.14
C.Other Current Liabilities	1941057	1069039	0.08	0.043
D.Due By Federation	260350631.4	317551340.1	11.13	12.69
E.Un distributed profit:31.03.2020	65825649.5	21683777.08	2.81	0.87
E.Net Profit	21683777.08	20641072.40	0.93	0.825
Total (A+B)	**2339978623**	**2503039929.9**	**100**	**100**
II ASSETS				
1.FIXED ASSET (C)				
Share Capital To Pacs	34964474	33990099	1.49	1.36

Plant Work in Progress	16520414.7	27735252.58	0.71	1.11
Other Fixed Asset	445608146.2	447846609.4	19.04	17.9
Deficit Stock Copra at Thrissur	17554215	17554215	0.75	0.70
Deficit Stock 2000-01	56762.07	56762.07	2.43	2.27
Deficit Stock	11687465.74	11687465.74	0.50	0.47
Netloss	0	0	0.00	0.00
CURRENT ASSET (D)				
Cash in Hand	134749	86298	5.76	3.45
Cash at Bank	1032155234	1150704565	44.11	45.97
Other Current Asset	9958512	12450280	0.43	0.50
Debtor	324120275.04	225050181.02	13.85	8.99
Equipment to Pacs	0	0	0.00	0.00
Adjusting Head To advance	240698864.1	281577692.13	10.29	11.25
Stock in Trade	204465071.2	294300509.67	8.74	11.76
Stock in Transit	2054440	0.00	0.09	0.00
TOTAL (A)	**2339978623**	**2503039929.9**	**100**	**100**

INTERPRETATION:

From the balance sheet on 31/03/2022, The due by federation was 12.69% of total liability. Cash at bank was 45.97% of total asset and stock in trade increased to 11.76%

TABLE NO. 4.21 COMMON SIZE BALANCE SHEET OF KERAFED 2022 AND 2023

PARTICULARS	ABSOLUTE AMOUNT		PERCENTAGE OF BALANCE SHEET	
	31.03.2022	31.03.2023	31.03.2022	31.03.2023
I. EQUITY AND LIABILITIES				
1. SHARE CAPITAL (A)				
a. Government of Kerala	361580000	361580000	14.45	13.97
NCDA	172800000	172800000	6.9	6.67
Co-operative societies	12175000	12175000	0.49	0.47
b. Funds and reserves	905947572.60	900916323.16	36.19	34.32
c. Capital reserve on disposal of furniture	0	0	0.00	0.00
d. Grants and subsidy	127931740.74	142727643.02	5.11	5.51
e. share capital assistance To PACS	142100000	106575000	5.7	4.11
2. CURRENT LIABILITIES (B)				
A. Establishment and contingencies payable	15665459	15134252.60	0.63	0.58
B. Interest On Term Loan	4038949229	403894929	16.14	15.61
C. Other Current Liabilities	1069039	952916.00	0.043	0.036
D. Due By Federation	317551340.1	428255814.85	12.69	16.55
E. Net profit	20641072.40	0	0.325	0.00
Total(A+B)	2503039929.9	2587336722.11	100	100
II. ASSETS				

1. FIXED ASSET (C)				
Share Capital To pacs	33990099	3344120	1.36	0.12
Plant Work in Progress	27725252.58	4161016.97	1.11	2.16
Other Fixed Asset	447846609.4	488888852.46	17.9	18.89
Deficit Stock At Copra Thrissur	17554215	17554215	0.70	0.67
Deficit Stock 2000-01	56762.07	56762.07	2.27	2.54
Deficit stock	11687465.74	11687465.74	0.47	0.45
Net loss	0	0	0	0
CURRENT ASSET (D)				
Cash in hand	86298	66174.50	3.45	0.002
Cash at bank	1150704565	1120151295	45.97	43.29
Other Current Asset (D)	12450280	22818617	0.50	3.23
Debtor	225050181.02	184869782	8.99	7.14
Equipment to pacs	0	0	0	0
Adjusting Head To advance	294300509.67	274195236.51	11.76	10.59
Stock in Trade	0	0	0	0
TOTAL (A)	2503039929.9	2587336728.11	100	100

INTERPRETATION:

On 31/03/2022, the debtors were 8.99% of the total asset. But in the period of 31/03/2023, the debtor's percentage was decreased to 7.14

TABLE NO. 4.22 COMMON SIZE BALANCE SHEET OF KERAFED 2023 AND 20224

PARTICULARS	ABSOLUTE AMOUNT		PERCENTAGE OF BALANCE SHEET	
	31.03.2023	31.03.2024	31.03.2023	31.03.2024
I. EQUITY AND LIABILITIES				
1. SHARE CAPITAL (A)				
a. Government of Kerala	361580000	534380000	14.45	13.97
NCDA	172800000	0	6.9	6.67
Co-operative societies	12175000	12175000	0.49	0.47
b. Funds and reserves	900916323.16	12150000737.10	36.19	34.32
c. Capital reserve on disposal of furniture	0	0	0.00	0.00
d. Grants and subsidy	142727643.02	142727643.02	5.11	5.51
e. share capital assistance To PACS	106575000	71050000	5.7	4.11
2. CURRENT LIABILITIES (B)				
A. Establishment and contingencies payable	15134252.60	15963072.25	0.63	0.58
B. Interest On Term Loan	4038949229	403894929	16.14	15.61
C. Other Current Liabilities	952916.00	1047780	0.043	0.036
D. Due By Federation	428255814.85	383856744.06	12.69	16.55
E. Net profit	0	0	0.325	0.00
Total(A+B)	6180066178.63	13715095905.43	100	100
II. ASSETS				

1. FIXED ASSET (C)				
Share Capital To pacs	3344120	32847720	1.36	0.12
Plant Work in Progress	4161016.97	4197677.59	1.11	2.16
Other Fixed Asset	488888852.46	483966612.82	17.9	18.89
Deficit Stock At Copra Thrissur	17554215	17554215	0.70	0.67
Deficit Stock 2000-01	56762.07	56762.07	2.27	2.54
Deficit stock	11687465.74	11687465.74	0.47	0.45
Net loss	0	0	0	0
CURRENT ASSET (D)				
Cash in hand	66174.50	72702	3.45	0.002
Cash at bank	1120151295.14	949524312.31	45.97	43.29
Other Current Asset (D)	22818617	35064331	0.50	3.23
Debtor	225050181.02	184869782	8.99	7.14
Equipment to pacs	0	0	0	0
Adjusting Head To advance	294300509.67	274195236.51	11.76	10.59
Stock in Trade	0	0	0	0
TOTAL (A)	2503039929.9	2587336728.11	100	100

INTERPRETATION:

The common size balance sheet indicates an increase in total funds from 2023 to 2024, showing financial growth. Government share capital and reserves increased, while current liabilities such as term loan interest and due to federation remain significant. Cash at bank and other fixed assets form a major portion of assets. Overall, the financial position shows expansion with slight structural changes.

CHAPTER-5

FINDINGS, SUGGESTIONS AND CONCLUSION

FINDINGS

- The current ratio of kerafed is efficient in years such as 2019-20, 2020- 21, 2021-22, 2022-23 and 2023-24. A current ratio/working capital ratio of 2 or higher indicates healthy liquidity and it showing the ability to pay short-term liabilities

- The Quick ratio of kerafed is efficient during the period of 2019-20, 2020-21, 2021-22, 2022-23 and 2023-24. A quick ratio less than 1 indicates that there isn‘t enough liquid asset to pay short-term liabilities

- The Absolute liquid ratio of kerafed is efficient during the period 2019- 20, 2020-21, 2021-22, 2022-23 and 2023-24. Absolute liquid ratio of 0.50 or higher indicates the efficiency of the firm.

- The working capital of 2019-20, 2020-21, 2021-22 is found to be increasing year by year. But the year 2022-23 the working capital decreased than the previous years and at the year 2023-24 the working capital increased so it shows when the company‘s current liabilities are less than its current assets.

- For most industries, the ideal inventory turnover ratio will be between 5 and 10, meaning company will sell and restock inventory roughly every 1-2 months.

- Between 2019-20 and 2023-24, the Gross Profit Ratio experienced a steady decline from 10.63% to 3.35%. This downward trend shows that the company's core operational efficiency weakened significantly over the five-year period as sales decreased.

- During the year 2019-20 & 2022-23 firm has faced difficult situation, as the firm had no profit. In the year 2019-20 company earned a net profit than 2020-21 & 2021-22. The net profit a company represents the financial standing of a company after all its expenses have been paid off from its total revenue

- From 2019-20 to 2023-24 company had no net profit, hence the company had no return on asset. Following that, a huge gain in return on total asset was observed during 2019-20.After that again from 2022-23 to 202-24 company had no net profit, hence the

company had no return on asset

- Proprietary ratio is decreasing over the periods from 2019-20 to 2023-24 the ideal proprietary ratio is > 0.5, which indicates that company has more than half of the capital is equity
- Higher the rate of fixed asset net worth ratio, greater will be risk. This because the company will be vulnerable to any unexpected events or changes in the business as the majority of net worth is tied up in long term assets. Fixed asset to net worth ratio of 0.50 or lower is considered good, but there is no real standard.
- After a peak of 108.54% in 2020-21, sales have shown a continuous year-on-year decline to 81.50% in 2023-24. This represents an 18.5% drop compared to the base year, indicating a significant downward trajectory in performance.
- Current liabilities showed a steady upward trend from the base year, peaking at 129.91% in 2022-23. Despite a slight decrease to 123.25% in 2023-24, the overall trend reflects a significant 23.25% increase in short-term obligations compared to 2019-20.
- During the years 2019-2020, the company overcame the net losses. Net profit after the set off of the net losses is Rs.65825649/-. In this period (2019-20), the company also increased current assets.
- During 2020-21 company had to distribute the profit, (31/03/2020), the amount of Rs.65825649/-. The amount by which the profit increased from 2020 to 2021 is Rs.44141871.92/-
- During 2021-22 company had a decrease in net profit by 4.81% from the base year. And, also debtors decreased by 30.57% from the base year
- During the year 2022 and 2023, there was no net profit, the company had net loss
- In 2023-24, sales dropped to 81.50% while current liabilities rose to 123.25% of base levels. This trend, along with a 100% decline in net profit, shows that falling revenue and rising debt have eliminated the company's profitability.

- From the balance sheet on 31/03/2020, current asset percentage also increased. Cash at bank was41.58% of total asset. And earned a net profit of 3.11%.

- From the balance sheet on 31/03/2021, current asset percentage also increased, Cash at bank was44.11% of total asset And, the debtors‘ percentage increased to 13.85% of total asset

- From the balance sheet on 31/03/2022, The due by federation was 12.69% of total liability. Cash at bank was 45.97% of total asset and stock in trade increased to 11.76%

- On 31/03/2022, the debtors were 8.99% of the total asset. But in the period of 31/03/2023, the debtors percentage was decreased to 7.14

- In 2023, the company maintained a net profit of 1,151,675.87 while sales were at 83.50% of the base year level. By 2024, net profit dropped to zero as sales further declined to 81.50%, showing a significant weakening in financial performance.

SUGGESTIONS

- From the financial statement analysis, it is found that the deposits on banks are kept idle, for the purpose of interests. If this amount was so be invested in some other projects, then we could earn more than interests from banks.
- Appropriate steps should be taken to make the company profitable.
- The management should take decisions at the right time regarding production and its sales according to the market conditions prevailing will help the company to reduce the loss.
- Company should increase its share capital to increase its proprietary ratio which indicates that a business is in strong position and reduced dependence of the company on debt financing in order to run its business.
- The company should adopt celebrity marketing techniques to increase brand image and loyalty among customers as the edible oil market is a brutal one.

CONCLUSION

The financial Statement Analysis plays a very important role in decision making and understanding the trends. The study was conducted in Kerafed, Trivandrum. The main object of this study was the practical implementation of the theoretical knowledge of the Financial Statement Analysis. Kerafed is the top-level co-operative federation of coconut farmers in the southern Indian state of Kerala. Leveraging the debt capital accordingly in order to earn more profit than interest payable, raising more equity capital and increased promotion of the products can be done by the Kerafed in order to ensure profit and withstand competition in today‘s globalized world.

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BIBLIOGRAPHY

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URL :- https://www.mordorintelligence.com/industry-reports/coconut-products-market

URL :- https://kerafed.com/

ANNEXURE

ANNEXURE

Kerala kerakarshaka Sahakarana Federation Ltd. No. 4370 Balance sheet as at 31.03.2020				
As on 31.03.2019			As on 31.03.2020	
Main total	Subhead total		Subhead total	Main total
		Share Capital		
	361,580,000.00	Government of Kerala	361,580,000.00	
	17,28,00,000.00	NCDC	17,28,00,000.00	
54,65,45,000.00	1,21,65,000.00	Co-operative Societies	1,21,60,000.00	54,65,40,000.00
56,70,23,608.52	56,70,23,608.52	**Funds Reserves &Provisions**	60,60,44,936.00	60,60,44,936.00
16,31,60,584.74	16,31,60,584.74	**Grant & subsidy**	9,23,14,554.74	9,23,14,554.74
14,96,00,000.00	14,96,00,000.00	**Share Capital Assistance- PACS**	14,96,00,000.00	14,96,00,000.00
		Current Liabilities		
	84,85,852.00	Establishment and Contingencies Payable	66,58,724.00	
	40,38,94,929.00	Interest on Term Loan	40,38,94,929.00	
41,45,42,772.97	21,61,991.97	Other Current liabilities	18,50,363.00	41,24,04,016.00
19,90,91,467.27	19,90,91,467.27	**Due by Federation**	24,05,22,522.29	24,05,22,522.29
0.00	0.00	Net profit	6,58,25,649.50	6,58,25,649.50
2.03,99,63,433,50		Total	2,11,32,51,678,58	

Kerala kerakarshaka Sahakarana Federation Ltd. No. 4370 Balance sheet as at 31.03.2020				
As on 31.03.2019			As on 31.03.2020	
Main total	Subhead total		Subhead total	Main total
		Cash		
	29,391.00	Cash in Hand	61,387.00	
69,45,92,175.26	69,45,62,784.26	Cash at bank	87,86,78,109.34	87,87,39,496.34
1,95,85,404.00	1,95,85,404.00	**Share Capital to PACS**	3,96,05,907.00	3,96,05,907.00
0.00	0.00	**Revolving Fund to Krishi Bhavans**	0.00	0.00
		Current Assets		
	1,01,37,142.00	Other current Assets	1,82,38,939.00	
16,82,22,328.41	15,80,85,186.41	Sundry Debtors	26,14,83,188.47	27,97,22,127.47
34,35,419.36	34,35,419.36	Equipment to PACS	0.00	0.00
		Advance due to		
27,41,59,759.13	27,41,59,759.13	Adjusting Heads Advance	25,06,89,953.77	25,06,89,953.77
0.00	0.00	**Plant Work in Progress**	1,26,40,704.32	1,26,40,704.32
44,32,84,332.70	44,32,84,332.70	**Fixed Assets**	44,52,68,277.16	44,52,68,277.16
23,44,30,205.09	23,44,30,205.09	**Stock in trade**	17,72,86,769.71	17,72,86,769.71
17,554,215.00	17,554,215.00	**Deficit stock of Copra at Thrissur**	17,554,215.00	17,554,215.00
56,762.07	56,762.07	**Deficit stock 2000-01**	56,762.07	56,762.07
11,687,465.74	11,687,465.74	**Deficit Stock**	11,687,465.74	11,687,465.74
17,29,55,366.74	17,29,55,366.74	**Net Loss**		0.00
2.03,99,63,433,50		**Total**	2,11,32,51,678,58	

Kerala kerakarshaka Sahakarana Federation Ltd. No. 4370 Balance sheet as at 31.03.2021				
As on 31.03.2020			As on 31.03.2021	
Main total	Subhead total		Subhead total	Main total
		Share Capital		
	361,580,000.00	Government of Kerala	361,580,000.00	
	17,28,00,000.00	NCDC	17,28,00,000.00	
54,65,40,000.00	1,21,60,000.00	Co-operative Societies	1,21,75,000.00	54,65,55,000.00
60,60,44,936.00	60,60,44,936.00	**Funds Reserves &Provisions**	77,10,53,817.41	77,10,53,817.41
9,23,14,554.74	9,23,14,554.74	**Grant & subsidy**	9,79,85,402.74	9,79,85,402.74
14,96,00,000.00	14,96,00,000.00	**Share Capital Assistance- PACS**	14,71,00,000.00	14,71,00,000.00
		Current Liabilities		
	66,58,724.00	Establishment and Contingencies Payable	2,35,88,359.00	
	40,38,94,929.00	Interest on Term Loan	40,38,94,929.00	
41,24,04,016.00	18,50,363.00	Other Current liabilities	19,41,057.00	42,94,24,345.00
24,05,22,522.29	24,05,22,522.29	**Due by Federation**	26,03,50,631.42	26,03,50,631.42
6,58,25,649.50	6,58,25,649.50	Undistributed profit upto 31.03.2020	6,58,25,649.50	6,58,25,649.50
0.00	0.00	Net profit	2,16,83,777.08	2,16,83,777.08
2,11,32,51,678.58		Total	2,33,99,78,623.15	

Kerala kerakarshaka Sahakarana Federation Ltd. No. 4370 Balance sheet as at 31.03.2021				
As on 31.03.2020			As on 31.03.2021	
Main total	Subhead total		Subhead total	Main total
		Cash		
	61,387.00	Cash in Hand	1,34,749.00	
87,86,78,109.34	87,86,78,109.34	Cash at bank	1,03,21,55,234.15	1,03,21,55,234.15
3,96,05,907.00	3,96,05,907.00	**Share Capital to PACS**	3,49,64,474.00	3,49,64,474.00
0.00	0.00	**Revolving Fund to Krishi Bhavans**	0.00	0.00
		Current Assets		
	1,82,38,939.00	Other current Assets	99,58,512.00	
27,97,22,127.47	26,14,83,188.47	Sundry Debtors	32,41,20,275.04	33,40,78,787.04
0.00	0.00	Equipment to PACS	0.00	0.00
		Advance due to		
25,06,89,953.77	25,06,89,953.77	Adjusting Heads Advance	24,06,98,864.05	24,06,98,864.05
1,26,40,704.32	1,26,40,704.32	**Plant Work in Progress**	1,65,20,414.70	1,65,20,414.70
44,52,68,277.16	44,52,68,277.16	**Fixed Assets**	44,56,08,146.16	44,56,08,146.16
17,72,86,769.71	17,72,86,769.71	**Stock in trade**	20,44,65,071.24	20,44,65,071.24
		Stock in transit	20,54,440.00	20,54,440.00
17,554,215.00	17,554,215.00	**Deficit Stock Of Copra At Thrissur**	17,554,215.00	17,554,215.00
56,762.07	56,762.07	**Deficit stock 2000-01**	56,762.07	56,762.07
11,687,465.74	11,687,465.74	**Deficit Stock**	11,687,465.74	11,687,465.74
2,11,32,51,678,58		**Total**	2,33,99,78,623.15	

Kerala kerakarshaka Sahakarana Federation Ltd. No. 4370 Balance sheet as at 31.03.2022				
As on 31.03.2021		**Capital & Liabilities**	As on 31.03.2022	
Main total	Subhead total		Subhead total	Main total
	361,580,000.00	**Share Capital** Government of Kerala	361,580,000.00	
	172,800,000.00	NCDC	172,800,000.00	
546,555,000.00	12,175,000.00	Co-operative Societies	12,175,000.00	546,555,000.00
771,053,817.41	771,053,817.41	**Funds, Reserves,& Provisions**	905,947,572.60	905,947,572.60
97,985,402.74	97,985,402.74	**Grant & subsidy**	127,931,740.74	127,931,740.74
147,100,000.00	147,100,000.00	**Share Capital Assistance to PACS**	142,100,000.00	142,100,000.00
		Current Liabilities		
	23,588,359.00	Establishment, and Contingencies Payable	15,665,459.00	
	403,894,929.00	Interest on Term Loan	403,894,929.00	
429,424,345.00	1,941,057.00	Other Current liabilities	1,069,039.00	420,629,427.00
260,350,631.42	260,350,631.42	**Due by Federation**	317,551,340.06	317,551,340.06
		Profit and Loss Account		
875,09,426.58	875,09,426.58	Undistributed Profit - 31.03.2021	21,683,777.08	
		Net profit during the period	20,641,072.40	42,324,849.48
2,339,978,623.15		**Total**	2,503,039,929.88	

Kerala kerakarshaka Sahakarana Federation Ltd. No. 4370 Balance sheet as at 31.03.2022				
As on 31.03.2021			As on 31.03.2022	
Main total	Subhead total		Subhead total	Main total
		Cash		
	134,749.00	Cash in Hand	86,298.00	
1,032,289,983.15	1,032,155,234.15	Cash at bank	1,150,704,565.31	1,150,790,863.31
34,964,474.00	34,964,474.00	**Share Capital to PACS**	33,990,099.00	33,990,099.00
0.00	0.00	**Revolving Fund to Krishi Bhavans**	0.00	0.00
		Current Assets		
	9,958,512.00	Other current Assets	12,450,280.00	
334,078,787.04	324,120,275.04	Sundry Debtors	225,050,181.02	237,500,461.02
		Advance due to		
240,698,864.05	240,698,864.05	Adjusting Heads Advance	281,577,692.13	281,577,692.13
16,520,414.70	16,520,414.70	**Plant Work in Progress**	27,735,252.58	27,735,252.58
445,608,146.16	445,608,146.16	**Fixed Assets**	447,846,609.36	447,846,609.36
204,465,071.24	204,465,071.24	**Stock in trade**	294,300,509.67	294,300,509.67
2,054,440.00	2,054,440.00	**Stock in Transit**		0.00
17,554,215.00	17,554,215.00	**Deficit stock of Copra at Thrissur**	17,554,215.00	17,554,215.00
56,762.07	56,762.07	**Deficit stock 2000-01**	56,762.07	56,762.07
11,687,465.74	11,687,465.74	**Deficit Stock**	11,687,465.74	11,687,465.74
2,339,978,623.15		**Total**	2,503,039,929.88	

Kerala kerakarshaka Sahakarana Federation Ltd. No. 4370 Tentative Balance sheet as at 31.03.2023 (subject to Audit)				
As on 31.03.2022		**Capital & Liabilities**	As on 31.03.2023	
Main total	Subhead total		Subhead total	Main total
	361,580,000.00	**Share Capital** Government of Kerala	361,580,000.00	
	172,800,000.00	NCDC	172,800,000.00	
546,555,000.00	12,175,000.00	Co-operative Societies	12,175,000.00	546,555,000.00
905,947,572.60	905,947,572.60	**Funds, Reserves,& Provisions**	900,916,323.16	9000,916,323.16
127,931,740.74	127,931,740.74	**Grant & subsidy**	142,727,643.02	142,727,643.02
142,100,000.00	142,100,000.00	**Share Capital Assistance to PACS**	106,575,000.00	106,575,000.00
		Current Liabilities		
	15,665,459.00	Establishment, and Contingencies Payable	15,134252.60	
	403,894,929.00	Interest on Term Loan	403,894,929.00	
420,629,427.00	1,069,039.00	Other Current liabilities	952,916.00	419,982,097.60
317,551,340.06	317,551,340.06	**Due by Federation**	428,255,814.85	428,255,814.85
		Profit and Loss Account		
42,324,849.48	21,683,77.08	Undistributed Profit - 31.03.2021	42,324,849.48	
	20,641,072.40	**Net Loss during the year**	-30,808,091.31	11,516,758.17
2,503,039,929.88		**Total**	2,556,528,636.80	

Kerala kerakarshaka Sahakarana Federation Ltd. No. 4370 Tentative Balance sheet as at 31.03.2023 (Subject to Audit)				
As on 31.03.2022			As on 31.03.2023	
Main total	Subhead total		Subhead total	Main total
		Cash		
	86,298.00	Cash in Hand	66,174.50	
1,150,790,863.31	1,150,704,565.31	Cash at bank	1,120,151,295.14	1,120,151,295.14
33,990,099.00	33,990,099.00	**Share Capital to PACS**	33,344,120.00	33,344,120.00
		Current Assets		
281,577,692,13	12,450,280.00	Other current Assets	22,818,617.00	
27,735,252.58	225,050,181.02	Sundry Debtors	184,869,782.06	207,688/399.06
		Advance due to		
281,577,692.13	281,577,692.13	Adjusting Heads Advance	398,735,099.35	398,735,099.35
27,735,252.58	27,735,252.58	**Plant Work in Progress**	4,161,016.97	4,161,016.97
447,846,609.36	447,846,609.36	**Fixed Assets**	488,888,852.46	488,888,852.46
294,300,509.67	294,300,509.67	**Stock in trade**	274,195,236.51	274,195,236.51
0.00		**Stock in Transit**		0.00
17,554,215.00	17,554,215.00	**Deficit stock of Copra at Thrissur**	17,554,215.00	17,554,215.00
56,762.07	56,762.07	**Deficit stock 2000-01**	56,762.07	56,762.07
11,687,465.74	11,687,465.74	**Deficit Stock**	11,687,465.74	11,687,465.74
2,503,039,929.88		**Total**	2,,556,528,636.80	

Kerala kerakarshaka Sahakarana Federation Ltd. No. 4370 Balance sheet as at 31.03.2024				
As on 31.03.2023		**Capital & Liabilities**	As on 31.03.2024	
Main total	Subhead total		Subhead total	Main total
	53,43,80,000.00	**Share Capital** Government of Kerala	53,43,80,000.00	
	0.00	NCDC	0.00	
546,555,000.00	12,175,000.00	Co-operative Societies	12,175,000.00	546,555,000.00
1,23,90,35,918.88	1,23,90,35,918.88	**Funds, Reserves,& Provisions**	1,21,50,00,737.10	1,21,50,00,737.10
142,727,643.02	142,727,643.02	**Grant & subsidy**	142,727,643.02	142,727,643.02
106,575,000.00	106,575,000.00	**Share Capital Assistance to PACS**	7,10,50,000.00	7,10,50,000.00
		Current Liabilities		
	1,99,546.65	Establishment, and Contingencies Payable	1,59,63,072.25	
	403,894,929.00	Interest on Term Loan	403,894,929.00	
40,40,99,475.65	5000.00	Other Current liabilities	10,47,780.00	42,09,05,781.25
44,85,99,669.60	44,85,99,669.60	**Due by Federation**	38,38,56,744.06	38,38,56,744.06
		Profit and Loss Account		
2,88,75,92,707.15		**Total**	2,78,00,95,905.43	

Kerala kerakarshaka Sahakarana Federation Ltd. No. 4370 Tentative Balance sheet as at 31.03.2024				
As on 31.03.2022			As on 31.03.2023	
Main total	Subhead total		Subhead total	Main total
		Cash		
	66,174.50	Cash in Hand	66,174.50	
1,12,01,51,399.18	1,12,01,51,399.18	Cash at bank	94,95,24,312.31	94,95,24,312.31
33,344,120.00	33,344,120.00	**Share Capital to PACS**	3,28,47,720.00	3,28,47,720.00
	23,50,000.00	**Investment**	23,50,000.00	
	10,15,36,997.00	**Miscellaneous income receivable**	3,50,64,331.00	
28,87,56,779.06	184,869,782.06	Sundry Debtors	20,97,24,441.02	24,71,38,772.02
		Advance due to		
42,33,04,841.89	42,33,04,841.89	Adjusting Heads Advance	67,07,41,635.61	67,07,41,635.61
4,161,016.97	4,161,016.97	**Plant Work in Progress**	41,97,677.59	41,97,677.59
48,10,05,051.08	48,10,05,051.08	**Fixed Assets**	48,39,66,612.82	48,39,66,612.82
27,52,86,787.68	27,52,86,787.68	**Stock in trade**	32,92,71,481.77	32,92,71,481.77
10,78,647.78	10,78,647.78	**Dead stock of KCCN 22-23**		0.00
36,86,249.66	36,86,249.66	**Deficit stock of Green coconut 22-23**		0.00
11,83,48,321.00	11,83,48,321.00	**Deficit stock of copra 22-23**		0.00
17,554,215.00	17,554,215.00	**Deficit stock of Copra at Thrissur**	17,554,215.00	17,554,215.00
56,762.07	56,762.07	**Deficit stock 2000-01**	56,762.07	56,762.07
11,687,465.74	11,687,465.74	**Deficit Stock**	11,687,465.74	11,687,465.74
10,91,04,875.54	10,91,04,875.54	**Net loss Transferred from P&L**	3,30,36,548.50	3,30,36,548.50
2,88,75,92,707.15		**Total**	2,78,00,95,905.4	